

June 2, 2026 08:00 PM GMT

Australia Consumer | Asia Pacific

A sharper housing downturn creates earnings risk

A sharper housing downturn, with national prices expected to fall 5-10% and turnover down 20-30%, creates downside risk to FY27 discretionary earnings. We downgrade our Consumer industry view to Cautious, trim housing-exposed SSSg and margins, and continue to prefer staples over discretionary.

Key Takeaways

- Housing is now a demand headwind, with prices forecast down 5–10% and turnover down 20–30%.
- Lower house prices weigh on consumer confidence and category spend, while lower turnover reduces renovation and move-related demand.
- Hardware has the most direct exposure, with MTS more sensitive than WES to trade and renovation softness.
- Big-ticket consumer electronics and housing-related categories, including appliances, flooring and outdoor, face weaker demand.
- We downgrade our Consumer industry view from In-Line to Cautious, cut FY27e SSSg/margins, and continue to prefer staples over discretionary.

Industry downgrade to Cautious: Our Macro team forecast national house prices to fall 5–10% and turnover to decline 20–30% ([see here](#)), driven by tax changes that disincentivise property investment at a time when rates remain restrictive. Falling house prices compound headwinds for discretionary retail, and the consumer more broadly. We downgrade our industry view from In-Line to Cautious.

Hardware most exposed to the housing reset: WES (Bunnings) and MTS (IHG) carry the most direct exposure to declining prices, lower turnover and softer construction activity. Within hardware, we see commercial/trade as more vulnerable than DIY, given its sensitivity to construction activity and weaker incentive to spend as house prices and turnover soften.

Big-ticket discretionary demand to soften: JBH and HVN are exposed through weaker consumer confidence from falling house prices and lower turnover reducing move-related purchasing across consumer electronics, white goods and furniture/outdoor categories. Within JBH, TGG is more exposed, while HVN's broader housing-related category exposure increases sensitivity to weaker housing activity.

Ratings and estimates: We cut FY27e SSSg and margin assumptions across hardware and big-ticket categories, with EPS and PT cuts across WES, MTS, JBH and HVN. We continue to prefer staples (OW COL / SIG / BGA) over discretionary (UW JBH, SUL, AX1) with a softer housing outlook compounding an already weak consumer outlook.

MORGAN STANLEY AUSTRALIA LIMITED+

Melinda K Baxter

Equity Analyst

Melinda.Baxter@morganstanley.com

+61 2 9770-1176

Mac Ross, CFA

Equity Analyst

Mac.Ross@morganstanley.com

+61 2 9770-1579

Julia M de Sterke

Equity Analyst

Julia.DeSterke@morganstanley.com

+61 2 9770-1658

Asia Summer School 2026

India Investment Forum 2026

AUSTRALIA CONSUMER

Asia Pacific

Industry View

Cautious

WHAT'S CHANGED

Australia Consumer Industry View	From In-Line	To Cautious
JB Hi-Fi Ltd (JBH.AX) Price Target	From A\$68.80	To A\$66.50
Metcash Ltd (MTS.AX) Price Target	From A\$3.40	To A\$3.20
Harvey Norman Holdings Ltd (HVN.AX) Price Target	From A\$5.40	To A\$4.70
Wesfarmers Ltd (WES.AX) Price Target	From A\$79.30	To A\$78.70

Stock	FY27e EPS Change	MSe FY27 EPS vs VA. Cons
WES	0.3%	-1.3%
MTS	-1.9%	-0.2%
HVN	-5.7%	-4.7%
JBH	-3.2%	-6.0%

Morgan Stanley does and seeks to do business with companies covered in Morgan Stanley Research. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of Morgan Stanley Research. Investors should consider Morgan Stanley Research as only a single factor in making their investment decision.

For analyst certification and other important disclosures, refer to the Disclosure Section, located at the end of this report.

+ = Analysts employed by non-U.S. affiliates are not registered with FINRA, may not be associated persons of the member and may not be subject to FINRA restrictions on communications with a subject company, public appearances and trading securities held by a research analyst account.

MS Housing View: What It Means for Consumer

Housing has shifted from a tailwind to a domestic demand risk: We use the expected housing reset, detailed in our Macro team's Australia Macro+ Insight ([The Game Has Changed for Housing](#), 20 May 2026), as the framework for reviewing consumer discretionary names with the clearest housing sensitivity: WES, MTS, JBH and HVN.

Falling prices undermine the wealth backdrop for discretionary spending: We expect house prices to fall 5–10% as weaker investor demand meets a market already losing momentum from RBA rate hikes. This would dampen spending appetite, with hardware, electronics, appliances and furniture among the most sensitive categories.

Lower turnover is the more direct transmission channel for housing-related spend: Historically, 5-10% price falls led to 20-30% declines in turnover. Fewer transactions mean less renovation activity, weaker trade demand, and reduced purchasing of large household items. This flows directly through to hardware, building products and retail.

Weaker construction activity adds a further layer of pressure: Policy changes favour new supply, but higher rates, elevated costs and softer pre-sales are likely to weigh on approvals and activity near term, reinforcing the headwind for hardware / trade volumes.

The macro backdrop compounds the category-level drag: We expect domestic demand growth to slow well below trend through FY27, with housing and consumption the primary adjustment channels. Higher rates, less supportive fiscal policy, and elevated essential costs are squeezing disposable income, impacting broader discretionary spend.

Current consumer earnings assumptions may not fully reflect this: Consensus estimates across our coverage still imply resilient demand conditions. A housing-led domestic slowdown would put these assumptions under pressure, particularly where stocks are exposed to both turnover and wealth-effect channels simultaneously.

WES and MTS most directly exposed, but JBH and HVN also impacted: Slower turnover, softer approvals, and weaker renovation demand are all negative for WES (Bunnings) and MTS (IHG). For JBH and HVN, the transmission is through weaker housing-related spend on electronics, appliances, and furniture, compounded by softer consumer sentiment.

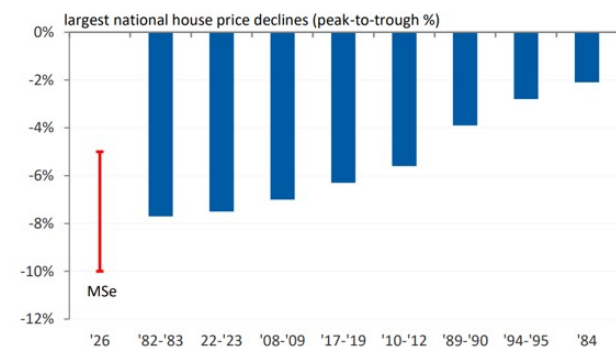
Exhibit 1: Expected impacts across the housing market

	Near-term Outlook	Medium-term Outlook	Comments
 Housing Prices	↓ ↓	→	House prices to adjust 5-10% lower as investor demand reduces sharply and rate hikes pressure.
 Rents	↑	→	Rents rise modestly, but most of the expected increase in rental yields comes from prices falling.
 Housing Turnover	↓ ↓	↓	Housing turnover slows near term as price declines and uncertainty weigh. Composition shifts away from investors.
 Residential Construction	↓	↑	Rate rises, price declines and cost increases constrain construction near term. Medium term favourable factors remain.
 Housing Credit Growth	↓ ↓	↓	Weaker housing prices and turnover both impact housing credit, as well as a medium-term shift away from investor activity.

Source: Morgan Stanley Research

Key charts - housing

Exhibit 2: Driven by recent tax changes we expect national house prices to come under pressures



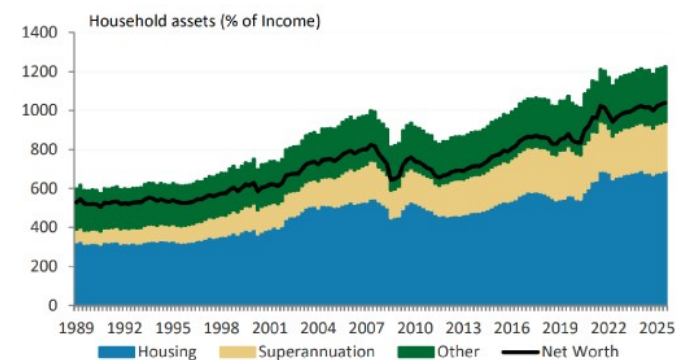
Source: Cotality, Morgan Stanley Research

Exhibit 4: Adjustment will take time - housing sales and building approvals typically lead changes in price growth, while credit growth is a laggard



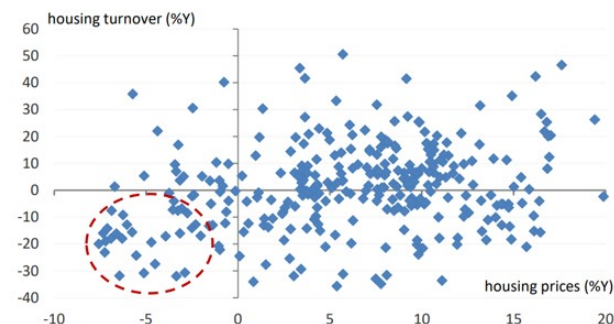
Source: ABS, Cotality, RBA, Morgan Stanley Research

Exhibit 6: Falling house prices will have significant wealth effects on households – an important channel to slow demand



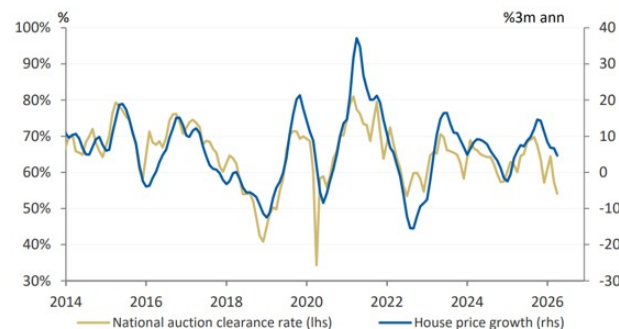
Source: APRA, RBA, Morgan Stanley Research

Exhibit 3: Our expectation of a decline in housing prices suggests that a sharp near-term slowing in turnover is likely, even before direct policy impacts



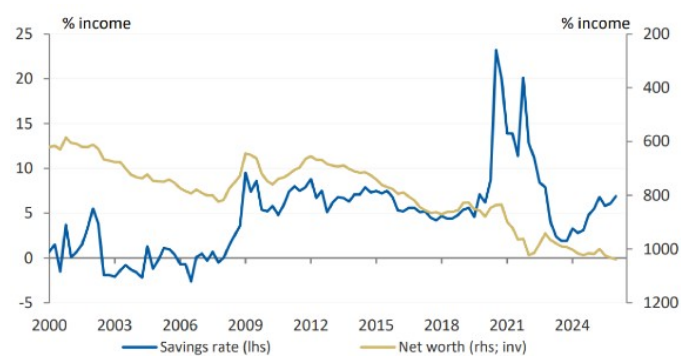
Source: Cotality, ABS, Morgan Stanley Research

Exhibit 5: Even before these tax changes, forward housing indicators were pointing to price declines in response to rate hikes



Source: Cotality, Morgan Stanley Research

Exhibit 7: Lower asset prices will put upward pressure on savings rates and thus spending



Source: APRA, RBA, Morgan Stanley Research

WES / MTS - Hardware: Most Exposed to the Housing Reset

Within our consumer coverage, WES and MTS have the most direct exposure to housing activity through Bunnings and IHG respectively, with both businesses closely linked to residential construction, renovation activity and trade.

Demand across hardware, building products, and DIY categories is typically correlated with dwelling approvals, renovations, and housing turnover, making the near-term outlook for construction activity important.

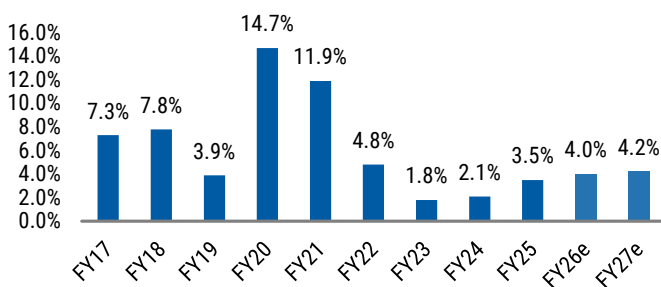
While repair and maintenance spending is generally more resilient, larger renovation projects and trade activity tend to weaken as housing turnover, approvals and consumer confidence slow.

We lower our SSS growth estimates for hardware exposed names (WES / MTS) and see increasing risk to FY27e consensus expectations.

WES: For WES, ~60% of group profit is attributable to Bunnings. Within Bunnings, ~40% of sales is linked to trade, while ~60% of sales is linked to DIY. Historically DIY has been more resilient vs. trade in periods of housing market weakness. During the last two periods of residential weakness (FY19 and FY23), SSS growth in Bunnings slowed materially vs. prior years. In FY19 SSS growth slowed to 3.9% (vs. the prior 3yr average of ~8%). Likewise, in FY23 SSS growth slowed to 1.8% (vs. the prior 3yr average of ~10%).

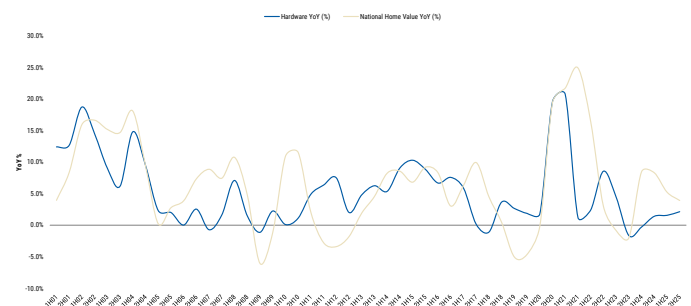
MTS: For MTS, ~33% of group profit is attributable to the hardware division. Within hardware, ~60% of sales is linked to trade, while ~40% of sales is linked to DIY, making it more vulnerable vs. Bunnings to a turnover and construction slowdown. For MTS's hardware division (IHG), banner SSS growth slowed to +3.0% in FY19 from +7.4% in FY18. Likewise, in FY23 MTS trade SSS growth slowed to +3.8% from +12.7% in FY22.

Exhibit 8: Bunning SSSg (FY17-27e)



Source: Company data, e = Visible Alpha consensus estimates.

Exhibit 9: Hardware Category Spending vs. National House Value Growth (Fiscal Half YoY %)



Source: ABS, CoreLogic, Morgan Stanley Research

WES: EW rated; PT A\$78.70/shr

Earnings changes: Given our expectation for house prices and housing-related activity (i.e. turnover, approvals), we trim our FY27e Bunnings SSS growth to 2.0% from 4.0%. We also trim our Bunnings FY27e EBIT margin (now flat YoY) to reflect softening top-line momentum, leaving our FY27e Bunnings EBIT ~2.5% below VA consensus. Bunnings downgrades are offset by upgrades to our WESCEF EBIT estimates (+15% FY27e EBIT) driven by higher fertilizer and ammonia prices (+10-20% YTD).

EW Thesis: We maintain our EW rating on WES. Cyclical weakness in housing is likely to weigh on earnings growth in Bunnings; however, we expect the group's other key exposures (K-MART / WESCEF) to continue to perform strongly. WESCEF should benefit from higher fertilizer and ammonia prices while K-MART remains a trade-down beneficiary in a weaker consumer environment. Valuation remains above mid-cycle at 30x FY27e P/E.

Valuation: We lower our PT marginally from A\$79.30/shr to A\$78.70/shr. Our PT is derived from our equally weighted methodology. SOTP PT based on market multiples is now A\$66.50/shr (vs. A\$68.80/shr previously), with a lower applied target multiple (25x to 24x FY27e P/E) reflective of market multiple declines. Our DCF valuation is now A\$90.90/shr (vs. A\$89.90/shr previously), core assumptions unchanged.

Exhibit 10: WES earnings changes

(A\$m)	Old	FY26E New	chg	Old	FY27e New	chg	Old	FY28e New	chg
Revenue	47,276	47,239	-0.1%	49,559	49,507	-0.1%	52,112	51,765	-0.7%
EBIT	4,496	4,460	-0.8%	4,835	4,849	0.3%	5,236	5,209	-0.5%
NPAT	2,850	2,825	-0.9%	3,072	3,082	0.3%	3,327	3,308	-0.6%
EPS	251	249	-0.9%	271	272	0.3%	293	292	-0.6%

Source: e = Morgan Stanley Research estimates

Exhibit 11: WES 10 year DCF valuation

	FY26e	FY27e	FY28e	FY29e	FY30e	FY31e	FY32e	FY33e	FY34e	FY35e
Sales	49,507	51,765	54,271	56,442	58,699	61,047	63,489	66,029	68,670	71,417
Growth	4.8%	4.6%	4.8%	4.0%	4.0%	4.0%	4.0%	4.0%	4.0%	4.0%
EBIT	4,849	5,209	5,588	5,868	6,162	6,408	6,664	6,931	7,208	7,496
Growth	8.7%	7.4%	7.3%	5.0%	5.0%	4.0%	4.0%	4.0%	4.0%	4.0%
Margin	9.8%	10.1%	10.3%	10.4%	10.5%	10.5%	10.5%	10.5%	10.5%	10.5%
Less: Tax	-1,455	-1,563	-1,676	-1,760	-1,848	-1,922	-1,999	-2,079	-2,162	-2,249
Less: AASB16 Int exp	-289	-294	-299	-308	-318	-327	-337	-347	-358	-368
Add: D&A ex ROA	718	746	776	799	823	847	873	899	926	954
Add: Working capital	-165	-164	-182	-20	-3	-3	-3	-3	-4	-4
Working capital/Sales	-0.3%	-0.3%	-0.3%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Less: Net Capex	-1,104	-1,128	-1,159	-1,016	-1,027	-1,038	-1,048	-1,056	-1,064	-1,071
- Capex/D&A	-153.7%	-151.2%	-149.4%	-127.2%	-124.9%	-122.5%	-120.0%	-117.5%	-114.9%	-112.3%
- Capex/Sales	-2.2%	-2.2%	-2.1%	-1.8%	-1.8%	-1.7%	-1.7%	-1.6%	-1.6%	-1.5%
Free Cash Flow	2,556	2,806	3,047	3,562	3,788	3,965	4,150	4,344	4,546	4,758
Growth	-10%	10%	9%	17%	6%	5%	5%	5%	5%	5%

Discounted free cash flow

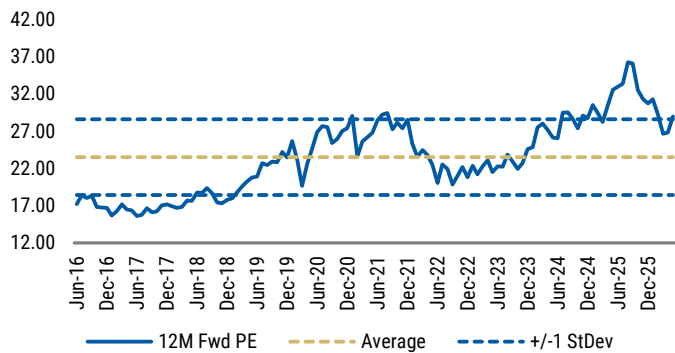
Total discounted free cash flow	26,780
PV of perpetual free cashflow	81,899
Total PV free cash flows	108,679
Net Debt	-5,491
Total Company equity value	103,188
Number of shs on issue	1,135
NPV per share	90.9

Key assumptions

Risk free rate	5%	Tax rate	30.0%
Equity market risk premium	5%	Cost of debt (after tax)	3.5%
Net debt/net debt + equity ratio	30%	WACC	7.2%
Equity beta	76%	Terminal growth rate	4.0%
Cost of equity	9%		

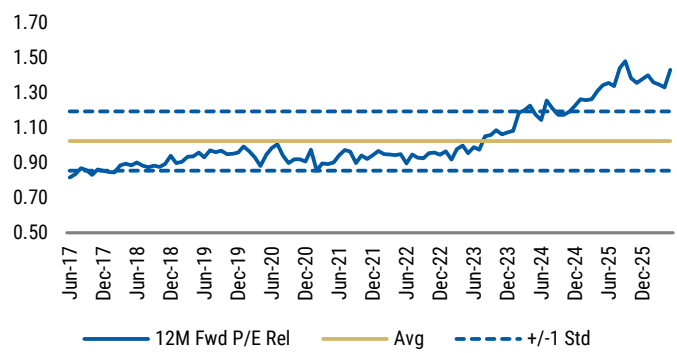
Source: e = Morgan Stanley Research estimates

Exhibit 12: WES 12M Fwd Cons P/E of 29x, is +1Std above mid-cycle



Source: Factset, IBES Consensus Estimates, Morgan Stanley Research

Exhibit 13: WES 12M Fwd Cons ASX200 Index Financial relative P/E is 143%, greater than +1Std above mid-cycle



Source: Factset, IBES Consensus Estimates, Morgan Stanley Research

MTS: EW rated; PT A\$3.20/shr

Earnings changes: FY26 is de-risked given recently issued guidance. We expect FY27 to prove more challenging for hardware, with uncertainty around the margin rebuild profile presenting downside risk to divisional earnings. We trim FY27–28e hardware divisional sales growth and margin assumptions, lowering Group EPS by 1.9% and 4.5%, respectively.

EW thesis: Negative housing sentiment and lower expected house prices and turnover push out the cycle recovery in housing-related construction activity, weighing on hardware earnings. We expect competitive pressures to remain in Food & Liquor. We reiterate our EW rating as these risks are reflected in the current valuation. MTS is trading at a 12mth fwd P/E of 12x, 1-SD below mid-cycle valuations.

Valuation: We lower our PT to A\$3.20/shr (from A\$3.40/shr), derived from our equally weighted methodology. P/E-based valuation of A\$3.10/shr (old A\$3.4/shr), where we lower the applied target multiple from 13x to 12x, slightly above –1s.d. below mid-cycle, reflective of a softer housing outlook. DCF-based PT of A\$3.40/shr (from A\$3.50/shr), core assumptions unchanged.

Exhibit 14: MTS earnings changes

A\$m	Old	FY26e New	Chg.	Old	FY27e New	Chg.	Old	FY28e New	Chg.
Sales	19,651	19,629	-0.1%	20,248	20,156	-0.5%	20,777	20,678	-0.5%
Group EBIT	502	503	0.1%	528	524	-0.7%	570	554	-2.9%
NPAT	268	269	0.3%	288	283	-1.9%	317	303	-4.5%
EPS	24.4	24.4	0.25%	26.1	25.6	-1.9%	28.8	27.5	-4.5%

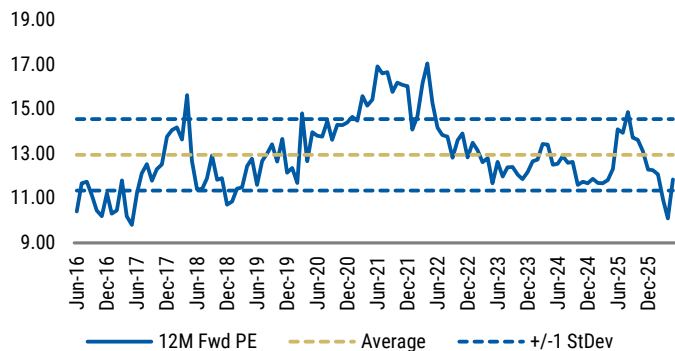
Source: e = Morgan Stanley Research estimates

Exhibit 15: MTS 10 year DCF valuation

DCF Valuation	FY26e	FY27e	FY28e	FY29e	FY30e	FY31e	FY32e	FY33e	FY34e	FY35e	FY36e
Sales	19,629	20,156	20,678	21,216	21,762	22,321	22,894	23,482	24,086	24,705	25,340
growth%	0.7%	2.7%	2.6%	2.6%	2.6%	2.6%	2.6%	2.6%	2.6%	2.6%	2.6%
EBIT	503	524	554	610	627	644	660	677	694	712	731
margin %	2.6%	2.6%	2.7%	2.9%	2.9%	2.9%	2.9%	2.9%	2.9%	2.9%	2.9%
growth%	-1.0%	4.3%	5.7%	10.1%	2.9%	2.6%	2.6%	2.6%	2.6%	2.6%	2.6%
Less tax	(109)	(116)	(124)	(140)	(145)	(193)	(198)	(203)	(208)	(214)	(219)
Less: AASB16 Int exp	(54)	(56)	(58)	(59)	(61)	(63)	(65)	(67)	(69)	(71)	(73)
Add: D&A ex ROA	105	108	111	114	117	120	124	128	132	136	140
Less working capital chg	(7)	(18)	(18)	(18)	(19)	(19)	(20)	(20)	(21)	(21)	(22)
Working capital/Sales	0.0%	-0.1%	-0.1%	-0.1%	-0.1%	-0.1%	-0.1%	-0.1%	-0.1%	-0.1%	-0.1%
Less: Capex	(170)	(200)	(200)	(200)	(200)	(206)	(212)	(219)	(225)	(232)	(239)
Capex/D&A	1.6x	1.8x	1.8x	1.8x	1.7x	1.7x	1.7x	1.7x	1.7x	1.7x	1.7x
CapEx/Sales	0.9%	1.0%	1.0%	0.9%	0.9%	0.9%	0.9%	0.9%	0.9%	0.9%	0.9%
Free cash flow	269	243	265	306	319	283	289	296	303	310	318
Total discounted free cash flows	1,799	Key assumptions									
PV of perpetual free cash flow	2,570	Risk free rate			5.0%	Cost of debt (before tax)			5.0%		
Total present value free cash flow	4,369	Equity market risk premium			5.0%	Tax rate			30.0%		
Net Debt / (net cash)	627	Net debt/net debt + equity ratio			20.0%	Cost of debt (after tax)			3.5%		
Less minority interest	(0)	Equity Beta			1	WACC			8.9%		
Total company Equity Value	3,741	Cost of equity			10.3%	Terminal growth rate			3.0%		
Number of shs issue	1,102										
Value at 12 Months	3.4										

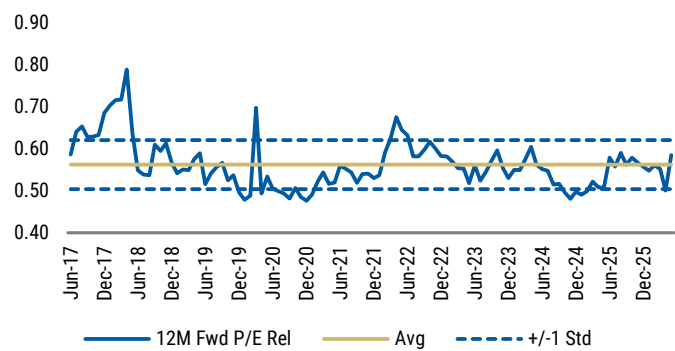
Source: e = Morgan Stanley Research estimates

Exhibit 16: MTS 12M Fwd Cons P/E of 11.8x, is -1Std above mid-cycle



Source: Factset, IBES Consensus Estimates, Morgan Stanley Research

Exhibit 17: MTS 12M Fwd Cons ASX200 Ind ex Financial relative P/E is 58%, in-line with mid-cycle



Source: Factset, IBES Consensus Estimates, Morgan Stanley Research

JBH / HVN - Big ticket discretionary: Housing cycle a headwind for demand

JBH and HVN are exposed to the downstream consumer and wealth effect channels of housing. Both benefit from appliance and electronics demand associated with house moves, renovations and elevated discretionary spending - all of which we see coming under pressure.

Likewise, HVN is also exposed to the furniture and bedding categories, which are tied to household formation and housing turnover.

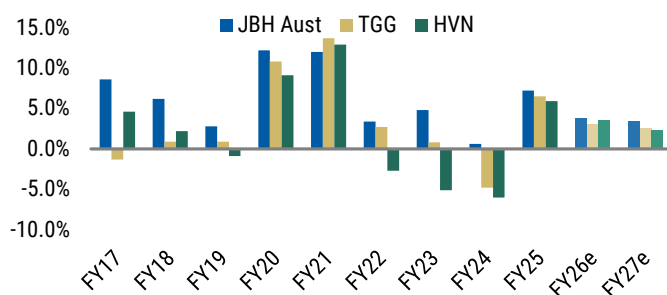
More broadly, softer housing prices and weaker turnover are likely to weigh on consumer sentiment and household wealth perceptions, which historically has translated into weaker demand across discretionary retail categories.

We lower our SSS growth estimates for big ticket / housing-linked discretionary retailers (JBH / HVN) and see increasing risk to FY27e consensus expectations.

JBH: During the last two periods of residential weakness (FY19 and FY23), SSS growth in The Good Guys was weak (+0.9% and +0.8%). JBH Australia showed a similar decelerating trend in FY19 (+2.8% vs. the prior 3yr average of ~7%), but was relatively resilient in FY23 (+4.8%, driven by elevated demand for electronics post-Covid).

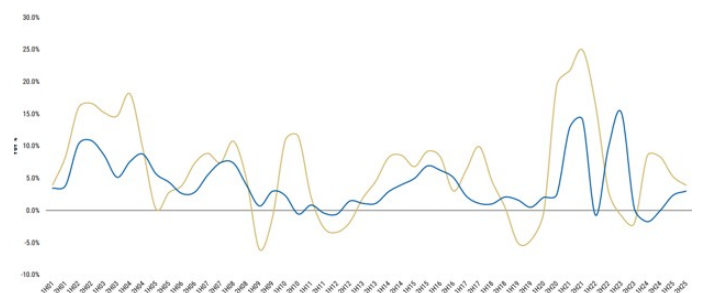
HVN: Over-indexes to housing-related categories including white goods, flooring and outdoor furniture, giving it both a direct turnover channel and wealth-effect exposure. For HVN, similar trends to JBH were observed in the last housing downturn. In FY19, domestic SSS growth slowed to -0.9% (vs. the prior 3-year average of ~4%). Likewise, in FY23 SSS growth slowed to -5.1% (vs. the prior 3-year average of ~7%).

Exhibit 18: JBH Australia; TGG and HVN SSS growth



Source: Company data, e = Visible Alpha consensus estimates

Exhibit 19: Discretionary Category Spending vs. National House Value Growth (Fiscal Half YoY %)



Source: ABS, CoreLogic, Morgan Stanley Research

JBH: UW rated; PT A\$66.50/shr

Earnings changes: Given our expectation for weaker house prices and the wealth-effect drag on discretionary spending, we trim our FY27e JBH Australia SSS growth to 2.5% from 4.0% and TGG SSS growth to 1.5% from 3.0%. We also trim FY27e divisional EBIT margins. Combined, this puts our FY27e EBIT ~4.0% below VA Cons.

UW Thesis: Valuation is still above mid-cycle averages, which we see as not adequately reflecting two compounding risks: a housing-led demand slowdown weighing on volumes across both banners, and surging memory component costs driving ASP inflation across electronics, pressuring both volumes and GP margins. Reiterate UW rating.

Earnings changes & valuation: We lower our PT from A\$68.80/shr to A\$66.50/shr. Our PT is derived from our equally weighted methodology (50/50 P/E and DCF valuation). P/E valuation is now A\$54.60/shr (vs A\$56.60/shr previously), our applied target multiple remains unchanged at 12.5x, -1std below mid-cycle. Our DCF valuation reduced to A\$78.40/shr (old A\$81.00/shr), driven by earning changes outlined below. Core assumptions remain unchanged.

Exhibit 20: JBH earnings changes

	Unit	Old	FY26e New	Chg	Old	FY27e New	Chg	Old	FY28e New	Chg
Sales	A\$m	11,133	11,133	0.0%	11,549	11,444	-0.9%	12,034	11,925	-0.9%
EBITDA	A\$m	1,012	1,012	0.0%	1,021	998	-2.3%	1,066	1,042	-2.2%
EBIT	A\$m	744	744	0.0%	746	723	-3.1%	783	759	-3.1%
NPAT	A\$m	496	496	0.0%	496	480	-3.2%	521	504	-3.2%
EPS	(c)	452	452	0.0%	452	437	-3.2%	475	460	-3.2%

Source: e = Morgan Stanley Research estimates

Exhibit 21: JBH 10 year DCF valuation

	FY27E	FY28E	FY29E	FY30E	FY31E	FY32E	FY33E	FY34E	FY35E	FY36E
Sales	11,444	11,925	12,343	12,775	13,222	13,685	14,164	14,659	15,172	15,703
- growth	2.8%	4.2%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%
EBIT	723	759	786	814	842	871	902	934	966	1,000
growth	-3%	5.1%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%
margin	6.3%	6.4%	6.4%	6.4%	6.4%	6.4%	6.4%	6.4%	6.4%	6.4%
Less: Tax	(207)	(217)	(228)	(244)	(253)	(261)	(271)	(280)	(290)	(300)
Less: AASB16 int exp	(40)	(41)	(42)	(44)	(45)	(46)	(48)	(49)	(51)	(52)
Add: D&A (ex right of use D&A)	78	85	92	95	98	101	104	107	110	113
Less: Working capital chg	(19)	(27)	(29)	(30)	(31)	(32)	(33)	(34)	(35)	(36)
- Working capital/Sales	-0.2%	-0.2%	-0.2%	-0.2%	-0.2%	-0.2%	-0.2%	-0.2%	-0.2%	-0.2%
Less: Capex	(97)	(101)	(106)	(109)	(112)	(115)	(119)	(122)	(126)	(130)
- Capex/D&A	1.2x	1.2x	1.1x	1.1x	1.1x	1.1x	1.1x	1.1x	1.1x	1.1x
Free Cash Flow	438	457	473	482	499	517	536	555	574	595
- growth	-0.5%	4.4%	3.6%	1.9%	3.6%	3.6%	3.6%	3.6%	3.6%	3.6%

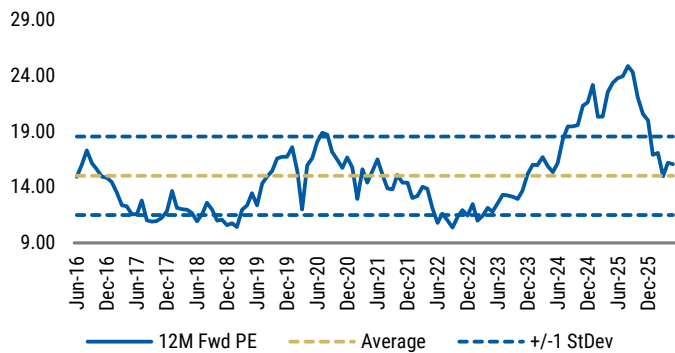
Total discounted free cash flow	3,385
PV of perpetual free cash flow	4,951
Total present value free cash flow	8,336
Net Debt	(273)
Less minority interest	-
Total company Equity Value	8,608
Number of shs on issue	110
NPV per share	78.4

Key assumptions

Risk free rate	5.0%	Cost of debt (before tax)	5.0%
Equity market risk premium	5.0%	Tax rate	30.0%
Net debt/net debt + equity ratio	15.0%	Cost of debt (after tax)	3.5%
Equity beta	1.0	WACC	9.0%
Cost of equity	10.0%	Terminal growth rate	3.5%

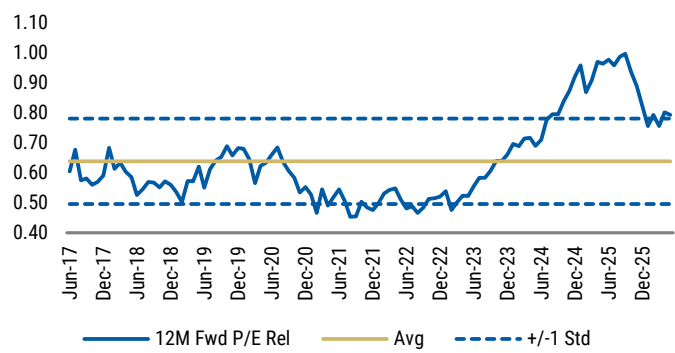
Source: e = Morgan Stanley Research estimates

Exhibit 22: JBH 12M Fwd Cons P/E of 16.1x, is +1Std above mid-cycle



Source: Factset, IBES Consensus Estimates, Morgan Stanley Research

Exhibit 23: JBH 12M Fwd Cons ASX200 Ind ex Financial relative P/E is 79%, +1Std above mid-cycle



Source: Factset, IBES Consensus Estimates, Morgan Stanley Research

HVN: EW rated; PT A\$4.70/shr

Earnings changes: Given our expectation for weaker house prices and lower housing turnover, which directly impacts demand across HVN's housing-related categories (white goods, flooring, furniture), we trim our FY27e domestic SSS growth to +1.5% from +3.8%. We also trim Australia divisional margins to reflect an increase in Franchisee support. Combined, this sees our FY27e EBIT ~4% below VA Cons.

Equal weight thesis: Valuation is closer to trough-cycle multiples, reflecting a historically volatile earnings profile through housing downturns. This limits absolute downside but does not remove the earnings risk, with some additional margin pressure from component cost inflation across electronics. Property earnings account for ~30% of Group EBIT and provide a partial offset.

Valuation: We lower our PT to A\$4.70/shr from A\$5.40/shr. Our PT is derived from our equally weighted methodology (50/50 P/E and DCF valuation). P/E valuation is lowered to A\$3.94/shr (vs. A\$4.26/shr previously), and our applied target multiple remains 11x, which is -1 Std below mid-cycle. Our DCF valuation is lowered to A\$5.40/shr (vs. A\$6.60/shr previously), driven by our earnings downgrades. Core assumptions unchanged.

Exhibit 24: HVN earning changes

	Unit	Old	FY26e New	Chg	Old	FY27e New	Chg	Old	FY28e New	Chg
Total Revenue	A\$m	4820	4811	-0.2%	4797	4673	-2.6%	4965	4841	-2.5%
Total EBIT (ex-reval)	A\$m	803	785	-2.2%	832	773	-7.1%	868	814	-6.2%
NPAT	A\$m	449	437	-2.6%	474	447	-5.7%	499	478	-4.4%
EPS	(c)	36	35	-2.6%	38	36	-5.7%	40	38	-4.4%

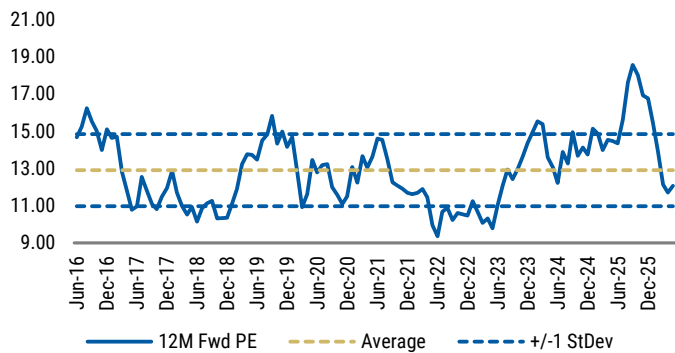
Source: e = Morgan Stanley Research estimates

Exhibit 25: HVN 10 year DCF valuation

	FY27E	FY28E	FY29E	FY30E	FY31E	FY32E	FY33E	FY34E	FY35E	FY36E	
Sales	4673	4841	5009	5184	5366	5553	5748	5949	6157	6373	
- growth	-2.9%	3.6%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	
EBIT	773	814	843	872	903	934	967	1001	1036	1072	
- growth	-1.5%	5.3%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	
Less: Tax	-247	-260	-270	-279	-289	-299	-309	-320	-331	-343	
Less: AAS16 Adjustment	-71	-73	-75	-78	-80	-82	-85	-87	-90	-93	
Add back: D&A (ex Lease adjustment)	109	112	114	118	122	126	131	135	140	145	
Working Capital	99	-43	-45	-45	-45	-45	-45	-45	-45	-45	
Capex	-206	-212	-219	-226	-234	-242	-251	-260	-269	-278	
- Capex/D&A	1.9x	1.9x	1.9x	1.9x	1.9x	1.9x	1.9x	1.9x	1.9x	1.9x	
Free Cash Flow	456	338	348	362	377	392	408	424	441	458	
- growth	81.5%	-26.0%	3.2%	4.1%	4.0%	4.0%	4.0%	4.0%	4.0%	4.0%	
Total discounted free cash flow	2,656	Key assumptions									
PV of perpetual free cash flow	4,689	Risk Free Rate				5.0%	Cost of Debt (Pre-tax)				5.0%
Total present value free cash flow	7,345	Market Risk Premium				5.0%	Tax Rate				32%
Net Debt	-703	Net debt/ net debt + equity ratio				30%	Cost of Debt (After tax)				3.4%
Less minority interest	0	Equity Beta				1.0	WACC				8.0%
Other	0	Cost of Equity				10.0%	Terminal Growth Rate				3.5%
Total company Equity Value	6,641										
Number of shares on issue	1,248										
DCF Value at 12 Months	5.40										

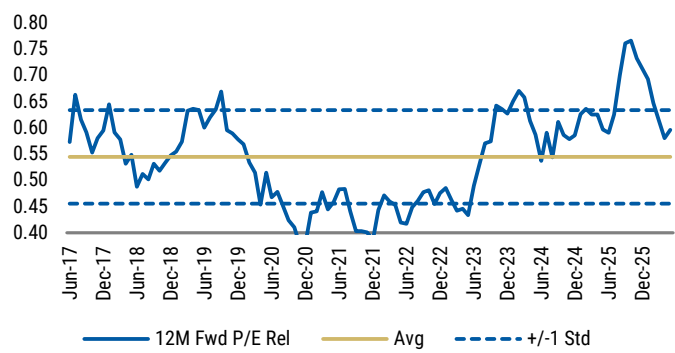
Source: e = Morgan Stanley Research estimates

Exhibit 26: HVN 12M Fwd Cons P/E of 12.1x, is -1Std above mid-cycle



Source: Factset, IBES Consensus Estimates, Morgan Stanley Research

Exhibit 27: HVN 12M Fwd Cons ASX200 Ind ex Financial relative P/E is 60%, between +1Std and mid-cycle



Source: Factset, IBES Consensus Estimates, Morgan Stanley Research

WES Financial Summary

Exhibit 28: WES Financial Summary

Income Statement					
A\$m	2024a	2025a	2026e	2027e	2028e
Revenue	44,189	45,700	47,239	49,507	51,765
Bunnings	18,968	19,595	20,415	21,047	22,189
Officeworks	3,434	3,565	3,730	3,845	3,960
Kmart Group	11,107	11,429	11,855	12,355	12,877
Catch	227	167	-	-	-
Industrial & Safety	2,022	1,998	1,598	1,638	1,679
CEF	2,747	2,962	2,895	3,427	3,476
Lithium		102	286	412	532
Health	5,624	5,933	6,408	6,728	6,997
Other	60	51	53	54	56
EBITDA	5,789	6,019	6,253	6,716	7,138
D&A	(1,800)	(1,833)	(1,793)	(1,866)	(1,929)
Divisional EBT	3,753	3,931	4,184	4,565	4,919
Bunnings	2,251	2,336	2,455	2,532	2,681
Officeworks	208	212	129	156	170
Kmart Group	958	1,046	1,119	1,193	1,258
Catch	(96)	(62)	-	-	-
Industrial & Safety	109	104	67	70	71
CEF	463	458	471	652	665
Lithium		(59)	13	28	116
Health	50	64	79	96	114
Other	(167)	(168)	(149)	(162)	(156)
Group Net Interest Expense	(402)	(412)	(433)	(454)	(493)
Profit before tax	3,587	4,053	4,027	4,395	4,716
Income Tax	(1,030)	(1,127)	(1,203)	(1,312)	(1,408)
Normalised NPAT	2,557	2,647	2,825	3,082	3,308
Reported NPAT	2,557	2,926	2,825	3,082	3,308
EPS - Underlying (c)	226	233	249	272	292
EPS - Reported (c)	225	258	249	272	292
DPS (c)	198	206	220	240	257
Shares on issue	1,134	1,134	1,135	1,135	1,135

Cash Flow Statement					
A\$m	2024a	2025a	2026e	2027e	2028e
EBIT	3,989	4,186	4,460	4,849	5,209
D&A	1,800	1,833	1,793	1,866	1,929
Tax paid	(1,030)	(1,127)	(1,203)	(1,312)	(1,408)
Other income & expenses	(402)	(412)	(433)	(454)	(493)
Less Depreciation on lease liabilities	(1,119)	(1,129)	(1,100)	(1,145)	(1,183)
Gross Cashflow	3,238	3,351	3,518	3,804	4,053
(Inc)/dec in working cap	(118)	(651)	157	(165)	(164)
Other including abnormals	355	739	22	-	-
Operating cashflow	3,475	3,439	3,697	3,639	3,889
Capital expenditure	(1,015)	(1,099)	(840)	(1,104)	(1,128)
Divestments Acquisitions	(321)	(103)	(289)	-	-
Free cashflow	2,139	2,237	2,567	2,535	2,761
Dividends paid	(2,200)	(2,291)	(2,872)	(2,827)	(2,836)
Net free cashflow	(61)	(54)	(304)	(292)	(75)
Equity raised	-	-	-	-	-
Debt servicing & other	-	(2,267)	-	-	-
Change in net debt	317	(158)	395	200	100

Balance Sheet					
A\$m	2024a	2025a	2026e	2027e	2028e
Current assets	9,414	9,933	9,766	10,047	10,470
Net plant & equipment	4,783	4,869	5,297	5,680	6,063
Net intangibles	5,051	4,957	4,938	4,938	4,938
Other non current assets	8,061	8,222	8,794	8,867	8,914
Total assets	27,309	27,981	28,795	29,532	30,384
Current liabilities	8,213	8,328	8,739	9,020	9,300
Borrowings	4,756	4,719	5,719	5,919	6,019
Other non current liabilities	5,755	5,745	6,444	6,444	6,444
Total liabilities	18,724	18,792	20,902	21,383	21,763
Shareholders' funds	8,585	9,189	7,893	8,149	8,621
Net debt	3,921	4,081	5,491	5,856	5,978
Capital employed	12,506	13,270	13,384	14,005	14,598

Growth & Margins (%)					
	2024a	2025a	2026e	2027e	2028e
Growth (%)					
Revenue	20.0	3.4	3.4	4.8	4.6
EBIT	12.8	4.7	6.4	9.1	7.8
EBITDA	11.2	4.0	3.9	7.4	6.3
Normalised NPAT	8.7	3.5	6.7	9.1	7.3
Reported NPAT	8.7	14.4	(3.5)	9.1	7.3
EPS	8.7	3.4	6.6	9.1	7.3
Margins (%)					
EBITDA	13.1	13.2	13.2	13.6	13.8
EBIT	9.0	9.2	9.4	9.8	10.1
NPAT	5.8	5.8	6.0	6.2	6.4

Key metrics					
	2024a	2025a	2026e	2027e	2028e
Bunnings LFL sales growth	2.1%	3.5%	3.9%	2.0%	4.0%
Bunnings EBIT margin	12.5%	12.6%	12.7%	12.8%	12.8%
Kmart LFL sales growth	6.4%	4.0%	5.0%	5.0%	5.0%
Kmart EBIT margin	10.4%	10.4%	10.4%	10.4%	10.4%
ROFE	30.3%	30.5%	31.4%	33.3%	34.4%
EBIT to net interest (x)	9.3	9.5	9.7	10.0	10.0
Capex-to-D&A	0.6	0.6	0.5	0.6	0.6
Capex-to-sales	2.3%	2.4%	1.8%	2.2%	2.2%
Net Debt/EBITDA	0.7	0.7	0.9	0.9	0.8
Net Debt/EBITDA (inc AASB16 le	1.8	1.7	2.0	1.9	1.8
Fixed charges cover	4.0	3.9	3.8	14.8	14.5
Net debt/equity	45.7%	44.4%	69.6%	71.9%	69.3%
NTA/share	3.1	3.7	2.6	2.8	3.3
Price/NTA	25.4	21.2	30.6	28.1	24.5
NAV/share	7.6	8.1	7.0	7.2	7.6
Price/NAV	10.4	9.8	11.4	11.1	10.5

Valuation metrics					
	2024a	2025a	2026e	2027e	2028e
P/E (x)	35.1	33.9	31.8	29.1	27.1
EV/EBIT (x)	25.0	23.9	22.9	21.1	19.6
EV/EBITDA (x)	16.2	15.6	15.3	14.3	13.5
Dividend yield (%)	2.5%	2.6%	2.8%	3.0%	3.3%
Dividend payout (%)	83%	87%	88%	88%	88%

Source: e = Morgan Stanley Research estimates, Company data

MTS Financial summary

Exhibit 29: MTS Financial Summary

Income Statement				
A\$m	2025a	2026e	2027e	2028e
Revenue	19,489	19,629	20,156	20,678
EBITDA	748	772	800	837
D&A	(240)	(269)	(276)	(283)
DIVISIONAL EBIT				
F&G	248	261	270	277
Liquor	104	100	101	102
Hardware	189	177	191	213
Other	(34)	(35)	(37)	(38)
Total EBIT	508	503	524	554
Net Interest Expense	(122)	(120)	(124)	(125)
Profit before tax	385	382	400	429
Income Tax	(110)	(111)	(116)	(124)
Minorities	(0)	(2)	(2)	(2)
NPAT before sig. items	276	269	283	303
Reported NPAT	283	288	283	303
EPS - normalised (c)	25	24	26	27
EPS - reported (c)	26	26	26	27
DPS (c)	18	17	18	19
Weighted shares	1,096	1,099	1,099	1,099

Cash Flow Statement				
A\$m	2025a	2026e	2027e	2028e
EBIT	508	519	524	554
D&A	240	269	276	283
Tax paid	(102)	(109)	(116)	(124)
Net interest paid	(122)	(120)	(124)	(125)
Gross Cashflow	523	560	560	588
(Inc)/dec in working cap	3	(7)	(18)	(18)
Other	13	(32)	0	0
Operating cashflow	539	521	542	570
Capital expenditure	(149)	(170)	(200)	(200)
Free cashflow	391	351	342	370
Net dividends paid	(167)	(205)	(197)	(211)
Net free Cashflow	224	146	145	159
Acquisitions / Divestments	(404)	(50)	(25)	(25)
Change in net debt / other	12	(51)	(2)	(11)

Divisional metrics	2025a	2026e	2027e	2028e
Food Sales gth	-2.1%	-3.0%	3.4%	2.9%
Food EBIT margin	2.3%	2.3%	2.3%	2.3%
Hardware Revenue gth (inc TTH)	2.4%	4.2%	3.0%	3.9%
Hardware EBIT margin (inc TTH)	5.3%	4.8%	5.0%	5.4%
TTH Network Sales gth	4.1%	7.9%	-0.1%	4.1%
TTH EBIT margin	11.2%	10.7%	11.0%	11.5%

Balance Sheet					
A\$m	2024a	2025a	2026e	2027e	2028e
Current assets	3,263	3,778	3,849	3,949	4,057
Net plant & equipment	340	397	328	277	219
Net intangibles	1,062	1,452	1,486	1,486	1,486
Other NC assets	1,132	1,265	1,226	1,226	1,226
Total assets	5,796	6,892	6,890	6,938	6,988
Current liabilities	2,889	3,635	3,639	3,719	3,797
Borrowings	349	662	763	813	863
Other	1,030	959	770	602	430
Total liabilities	4,268	5,256	5,172	5,134	5,090
OEI	12	11	5	7	9
Equity	1,517	1,626	1,712	1,798	1,889
Net debt (hedged)	252	577	627	675	714
Capital employed	1,769	2,203	2,340	2,473	2,603

Ratio Analysis	2024a	2025a	2026e	2027e	2028e
Growth (%)					
Revenue Growth	0.7	7.2	0.7	2.7	2.6
EBIT	(0.9)	2.3	(1.0)	4.3	5.7
Normalised NPAT	(8.2)	(2.4)	(2.3)	5.0	7.2
Reported NPAT	(0.7)	10.1	1.8	(2.0)	7.2
EPS	(11.0)	(11.3)	(2.5)	5.0	7.2

Key metrics					
EBITDA margin	3.8%	3.8%	3.9%	4.0%	4.0%
EBIT margin	2.7%	2.6%	2.6%	2.6%	2.7%
NPAT margin	1.6%	1.4%	1.4%	1.4%	1.5%

Other Value Drivers % unless stated					
ROFE	31.1%	25.6%	22.1%	21.8%	21.8%
EBIT to net interest (x)	5.4	4.1	4.2	4.2	4.4
Capex-to-D&A	0.7	0.6	0.6	0.7	0.7
Capex-to-sales	0.7%	0.8%	0.9%	1.0%	1.0%
D&A-to-sales	1.1%	1.2%	1.4%	1.4%	1.4%
Net debt to EBITDA ex ROA d	0.4	1.0	1.0	0.8	0.9
Gearing ND / (ND+E)	14%	26%	27%	27%	27%

Valuation metrics	2024a	2025a	2026e	2027e	2028e
P/E (x)	10.7	12.0	12.3	11.7	11.0
EV/EBITDA (x)	4.7	5.2	5.1	5.0	4.8
Dividend yield (%)	6.5%	6.0%	5.7%	6.0%	6.4%
Dividend payout (%)	69%	72%	70%	70%	70%

Source: e = Morgan Stanley Research estimates, Company data

JBH Financial Summary

Exhibit 30: JBH Financial Summary

P&L		2024a	2025a	2026e	2027e	2028e
Revenue	A\$m	9,592	10,555	11,133	11,444	11,925
JBH - Aus	A\$m	6,610	7,103	7,462	7,685	8,029
JBH - NZ (A\$m)	A\$m	303	361	441	477	500
The Good Guys	A\$m	2,679	2,865	2,954	2,999	3,104
EBITDA	A\$m	884	967	1,012	998	1,042
D&A	A\$m	(237)	(259)	(268)	(275)	(282)
JBH - Aus	A\$m	491	530	562	551	578
JBH - NZ (A\$m)	A\$m	(2)	(0)	4	6	9
The Good Guys	A\$m	158	174	175	163	169
EBIT	A\$m	647	708	744	723	759
Net Interest Expense	A\$m	(20)	(26)	(33)	(36)	(37)
Profit before tax	A\$m	627	668	711	687	722
Income Tax	A\$m	(189)	(205)	(214)	(207)	(217)
NPAT before sig. items	A\$m	439	476	496	480	504
Reported NPAT	A\$m	439	462	496	480	504
EPS	Cents	401	434	452	437	460
DPS	Cents	341	375	349	338	355

Cash flow		2024a	2025a	2026e	2027e	2028e
EBIT	A\$m	647	708	744	723	759
D&A	A\$m	237	259	268	275	282
Tax paid	A\$m	(189)	(205)	(214)	(207)	(217)
Net Interest	A\$m	(20)	(26)	(33)	(36)	(37)
Gross Cashflow	A\$m	676	735	765	755	787
(Inc)/dec in working cap	A\$m	19	(91)	(33)	(19)	(27)
Others	A\$m	58	81	27	-	-
Operating cashflow	A\$m	753	725	758	736	760
Capital expenditure	A\$m	(75)	(82)	(89)	(97)	(101)
Free cashflow	A\$m	678	643	669	639	658
Dividends paid	A\$m	(299)	(386)	(448)	(372)	(382)
Net free Cashflow	A\$m	380	257	221	267	276
Equity raised	A\$m	-	-	-	-	-
Other financing	A\$m	(205)	(220)	(232)	(211)	(218)
Change in net debt	A\$m	(35)	(16)	-	-	-

JB Hi Fi (Aus) metrics		2024a	2025a	2026e	2027e	2028e
JB Hi Fi (Aus) LFL sales	%	0.6%	7.2%	3.6%	2.5%	4.0%
GM - Aus	%	22.2%	22.0%	22.0%	21.8%	21.8%
EBIT margin - Aus	%	7.4%	7.5%	7.5%	7.2%	7.2%
Space growth	%	2.4%	2.7%	2.0%	1.4%	0.8%
Period end stores	k	224	229	234	236	238

The Good Guys metrics		2024a	2025a	2026e	2027e	2028e
The Good Guys LFL sales	%	-4.8%	6.5%	3.0%	1.5%	3.5%
Gross Margin	%	23.2%	23.5%	23.4%	23.1%	23.1%
EBIT margin	%	5.9%	6.1%	5.9%	5.4%	5.5%
Space growth	%	0.0%	0.5%	0.5%	0.0%	0.0%
Period end stores	k	106	107	107	107	107

Balance Sheet		2024a	2025a	2026e	2027e	2028e
Current assets	A\$m	1,586	1,816	1,871	1,974	2,100
Net plant & equipment	A\$m	197	225	240	260	276
Net intangibles	A\$m	1,031	1,081	1,081	1,081	1,081
Other non current assets	A\$m	672	762	791	805	825
Total assets	A\$m	3,487	3,883	3,983	4,119	4,281
Current liabilities	A\$m	1,311	1,551	1,614	1,643	1,682
Borrowings	A\$m	15	-	-	-	-
Other non current liabilities	A\$m	602	710	718	718	718
Total liabilities	A\$m	1,928	2,261	2,332	2,361	2,400
Outside equity interests	A\$m	-	5	6	6	7
Shareholders' funds	A\$m	1,559	1,617	1,645	1,752	1,874
Net debt	A\$m	(303)	(284)	(273)	(328)	(387)
Capital employed	A\$m	1,256	1,333	1,372	1,424	1,488

Ratio Analysis		2024a	2025a	2026e	2027e	2028e
Growth (%)						
Revenue	%	(0.4)	10.0	5.5	2.8	4.2
EBIT	%	(15.8)	9.4	5.1	(2.8)	5.1
EBITDA	%	(11.0)	9.3	4.7	(1.4)	4.4
Normalised NPAT	%	(16.4)	8.5	4.2	(3.4)	5.2
Reported NPAT	%	(16.4)	5.4	7.3	(3.4)	5.2
EPS	%	(16.1)	8.3	4.2	(3.4)	5.2
Margins (%)						
Gross Margin	%	22.3%	22.4%	22.4%	22.1%	22.1%
CODB Margin	%	13.1%	13.2%	13.3%	13.4%	13.4%
EBITDA margin	%	9.2%	9.2%	9.1%	8.7%	8.7%
EBIT margin	%	6.7%	6.7%	6.7%	6.3%	6.4%
NPAT margin	%	4.6%	4.5%	4.5%	4.2%	4.2%
Other Value Drivers						
ROFE	%	50.8%	54.7%	55.0%	51.7%	52.2%
EBIT to net interest	x	33	27	23	20	20
Capex-to-D&A	x	0.3	0.3	0.3	0.4	0.4
Capex-to-sales	%	0.8%	0.8%	0.8%	0.9%	0.9%
D&A-to-sales	%	2.5%	2.5%	2.4%	2.4%	2.4%
Net debt/equity	x	-19.4%	-17.6%	-16.6%	-18.7%	-20.6%
Net debt/(Net debt + Equity)	x	-24.1%	-21.3%	-19.9%	-23.0%	-26.0%
NTA/share	A\$m	4.8	4.9	5.2	6.2	7.3
Price/NTA	A\$m	14.7	14.4	13.7	11.5	9.7
NAV/share	A\$m	14.2	14.7	15.0	16.0	17.1
Price/NAV	A\$m	5.0	4.8	4.7	4.4	4.2

Valuation metrics		2024a	2025a	2026e	2027e	2028e
P/E (x)		17.7	16.4	15.7	16.3	15.5
EV/EBITDA (x)		8.8	8.0	7.7	7.8	7.5
EV/EBIT (x)		12.0	11.2	10.4	10.7	10.2
EV/Sales (x)		0.81	0.74	0.70	0.68	0.65
Dividend yield (%)		4.8%	5.3%	4.9%	4.8%	5.0%

Source: e = Morgan Stanley Research estimates, Company data

HVN Financial Summary

Exhibit 31: HVN Financial Summary

Income Statement					
A\$m	2024a	2025a	2026e	2027e	2028e
Sales Revenue					
Franchising Sales	6,060	6,430	6,626	6,726	6,927
Franchising Operations	971	1,043	1,084	1,086	1,117
New Zealand	982	980	1,005	1,030	1,056
Asia	728	767	822	826	867
Slovenia	220	236	266	270	278
Ireland	702	738	792	784	808
Other Non-Franchised Retail	247	240	245	250	255
Total Retail	2,879	2,962	3,192	3,232	3,357
Property (ex reval)	322	346	365	380	392
Equity Investments/Other	-60	-73	74	-25	-25
Total Company Revenue	4,118	4,436	4,811	4,673	4,841
EBITDA	893	967	1,045	1,040	1,090
Depreciation	-78	-87	-88	-90	-92
Amortisation	-19	-18	-18	-19	-21
Divisional EBIT					
Franchising Operations	318	392	424	404	423
New Zealand	73	71	82	82	84
Asia	43	49	59	57	61
Slovenia	6	8	12	11	11
Ireland	23	11	17	20	29
Other Non-Franchised Retail	-15	-13	-21	-21	-22
Total Retail	447	518	573	552	587
Property (ex reval)	190	199	209	218	225
Equity Investments/Other	10	-4	3	2	3
Property revaluation	5	158	96	0	0
Total EBIT	653	871	881	773	814
Total EBIT ex reval	647	713	785	773	814
Net Interest Expense	-111	-118	-121	-124	-121
Profit before tax	542	753	760	649	693
Income Tax	-184	-228	-219	-195	-208
Normalised NPAT	347	404	437	447	478
Reported NPAT	352	518	533	447	478
Shares outstanding	1,246	1,246	1,246	1,246	1,246
EPS - Basic as Reported (c)	28	41	43	36	38
EPS (c) ex property reval.	27.8	32.4	35.0	35.8	38.3
DPS (c)	22	27	27	28	30

Cash Flow Statement					
A\$m	2024a	2025a	2026e	2027e	2028e
EBIT (ex-property reval)	647	713	785	773	814
D&A	246	255	260	267	276
Tax paid	-184	-228	-219	-195	-208
Other	-88	-10	-33	-131	-129
Operating cashflow	621	730	794	714	753
(Inc)/dec in working cap	65	-35	-120	99	-43
Operating cashflow	687	694	674	813	710
Capital expenditure	-323	-265	-200	-206	-212
Asset sales	0	0	0	0	1
Free cashflow	363	429	474	607	498
Proceeds from share issue	0	0	0	0	0
Net acquisitions/Investments	-1	-1	0	0	0
Dividends paid	-274	-299	-361	-341	-357
Lease payments	-151	-158	-158	-158	-158
Net free Cashflow	-63	-29	-46	108	-17

Balance Sheet					
A\$m	2024a	2025a	2026e	2027e	2028e
Current assets	1,836	1,888	1,975	2,017	2,031
Net plant & equipment	4,597	4,945	5,057	5,173	5,294
Net intangibles	74	85	67	73	78
Total assets	7,928	8,373	8,558	8,722	8,856
Current liabilities	712	792	804	810	823
ST Borrowings	84	580	580	630	630
LT Borrowings	860	358	358	358	358
Other non current liabilities	1,734	1,799	1,799	1,799	1,799
Total liabilities	3,391	3,529	3,541	3,597	3,610
Outside equity interests	36	42	42	42	42
Equity	4,501	4,803	4,976	5,083	5,205
Net debt	671	659	703	619	660
Capital employed	5,172	5,461	5,679	5,702	5,865

Ratio Analysis					
	2024a	2025a	2026e	2027e	2028e
EBIT Growth (%)					
Franchising Operations	(22.5)	23.3	8.0	(4.8)	4.7
New Zealand	(14.6)	(2.5)	15.5	0.6	2.5
Asia	(7.7)	14.3	21.6	(3.5)	6.9
Slovenia	(38.0)	39.2	51.9	(10.7)	3.1
Ireland	10.5	(51.6)	55.9	15.6	47.0
Total Retail	(20.8)	15.8	10.7	(3.7)	6.2
Property (ex reval)	5.9	4.7	5.1	4.4	3.1

Growth (%)					
	2024a	2025a	2026e	2027e	2028e
Revenue	-3.7%	7.7%	8.4%	-2.9%	3.6%
EBIT	-24.8%	33.4%	1.1%	-12.3%	5.3%
EBITDA	-11.8%	8.3%	8.1%	-0.5%	4.8%
Normalised NPAT	-17.5%	16.4%	8.3%	2.1%	6.9%
EPS	-17.5%	16.4%	8.3%	2.1%	6.9%

EBIT Margins (%)					
	2024a	2025a	2026e	2027e	2028e
Franchising Operations	5.25	6.10	6.40	6.00	6.10
New Zealand	7.40	7.23	8.14	7.99	7.99
Asia	5.88	6.37	7.23	6.95	7.07
Slovenia	2.56	3.33	4.48	3.94	3.95
Ireland	3.24	1.49	2.17	2.53	3.61
Total Retail	15.54	17.49	17.97	17.09	17.47
Property (ex reval)	58.97	57.51	57.29	57.36	57.40
Group (ex reval)	15.72	16.06	16.32	16.54	16.81

Other Value Drivers % unless stated					
	2024a	2025a	2026e	2027e	2028e
Property value per share	3.69	3.97	4.06	4.15	4.25
NTA per share (\$)	3.58	3.82	3.97	4.05	4.15
ROFE (%)	14.6%	12.2%	12.8%	13.8%	13.4%
Capex/dep (x)	3.3	2.5	1.9	1.9	1.9
EBIT to net interest (x)	5.8	6.0	6.5	6.2	6.7
Debt/Equity	21%	20%	19%	19%	19%
Net Debt/EBITDA	0.8	0.7	0.7	0.6	0.6

Valuation metrics					
	2024a	2025a	2026e	2027e	2028e
P/E (ex property reval)	16.2	13.9	12.8	12.6	11.8
EV/EBIT	9.7	8.8	8.0	8.1	7.7
EV/EBITDA	7.0	6.5	6.0	6.0	5.8
Dividend yield (%)	4.9%	5.9%	6.0%	6.1%	6.6%
Dividend payout (%)	77.9%	63.9%	63.3%	77.1%	77.1%

Source: e = Morgan Stanley Research estimates, Company data

Comps table

Exhibit 32: Comps table

Discretionary		Rating	Price Target (AUD)	Last Price	Market Cap	FY26e	P/E FY27e	FY28e	3 Year CAGR (FY25-28e)			PEG Ratio
A2M-AU	A2 Milk Company Limited	OW	9.90 AUD	\$5.48	3,937	24.0x	19.7x	16.2x	4.1%	14.4%	10.0%	2.0x
BRG-AU	Breville Group Limited	OW	38.20	\$28.55	4,179	30.4x	26.5x	23.2x	9.2%	8.9%	9.3%	2.9x
CKF-AU	Collins Foods Limited	EW	9.70	\$8.33	996	13.8x	12.0x	11.0x	5.8%	8.9%	14.2%	0.8x
DMP-AU	Domino'S Pizza Enterprises Limited	UW	14.80	\$16.55	1,666	13.2x	12.1x	10.9x	-0.5%	5.1%	6.3%	1.9x
GYG-AU	Guzman Y Gomez Ltd.	OW	26.30	\$19.79	2,044	90.5x	42.6x	30.9x	20.2%	60.5%	67.2%	nm
HVN-AU	Harvey Norman Holdings Ltd	EW	4.70	\$4.50	5,719	11.9x	11.8x	10.9x	3.2%	5.7%	8.4%	1.4x
IEL-AU	Idp Education Ltd.	EW	5.50	\$2.25	660	9.5x	7.8x	6.0x	3.5%	13.1%	17.7%	0.4x
JBH-AU	Jb Hi-Fi Limited	UW	66.50	\$71.05	8,214	15.8x	15.3x	14.5x	4.6%	4.3%	5.1%	3.0x
TWE-AU	Treasury Wine Estates Limited	EW	4.86	\$4.11	3,407	13.0x	12.3x	10.5x	-5.2%	-10.9%	-12.3%	-1.0x
WES-AU	Wesfarmers Limited	EW	78.70	\$79.15	90,539	31.8x	29.0x	26.8x	4.2%	7.9%	8.1%	3.6x
Domestic Average (market cap weighted)						29.4x	26.2x	23.9x	4.3%	8.2%	8.5%	3.1x
Domestic Simple Average						25.4x	18.9x	16.1x	4.9%	11.8%	13.4%	1.7x
Discretionary - Mid/small		Rating	Price Target (AUD)	Last Price	Market Cap	FY26e	P/E FY27e	FY28e	3 Year CAGR (FY25-28e)			PEG Ratio
AX1-AU	Accent Group Ltd	UW	0.55	\$0.58	370	9.8x	7.5x	6.2x	5.2%	0.1%	-2.8%	-2.6x
LOV-AU	Lovisa Holdings Ltd.	OW	32.50	\$22.48	2,558	27.7x	22.1x	18.4x	14.8%	16.3%	16.1%	1.4x
MYR-AU	Myer Holdings Limited	OW	0.55	\$0.24	433	6.7x	4.8x	3.8x	3.4%	20.0%	29.9%	0.2x
PMV-AU	Premier Investments Limited	OW	15.90	\$12.71	2,026	13.1x	12.2x	11.3x	2.1%	1.6%	7.9%	nm
SUL-AU	Super Retail Group Limited	UW	10.90	\$11.44	2,613	12.8x	11.3x	10.4x	3.6%	2.8%	2.2%	5.2x
TPW-AU	Temple & Webster Group Ltd	OW	8.00	\$5.06	624	nm	nm	nm	10.5%	41.0%	31.9%	N/A
Domestic Average (market cap weighted)						16.0x	13.4x	11.7x	7.1%	10.0%	11.0%	1.9x
Domestic Simple Average						14.0x	11.6x	10.0x	6.6%	13.6%	14.2%	1.0x
Staples		Rating	Price Target (AUD)	Last Price	Market Cap	FY26e	P/E FY27e	FY28e	3 Year CAGR (FY25-28e)			PEG Ratio
BGA-AU	Bega Cheese Limited	OW	6.70	\$5.39	1,668	23.8x	21.8x	18.4x	4.7%	12.2%	20.9%	1.0x
EDV-AU	Endeavour Group Ltd	EW	3.20	\$2.84	5,190	14.0x	13.7x	12.2x	2.0%	-0.1%	-0.6%	-21.4x
COL-AU	Coles Group Ltd.	OW	23.90	\$21.55	29,160	23.3x	21.3x	19.8x	3.2%	7.8%	10.5%	2.0x
MTS-AU	Metcash Limited	EW	3.20	\$3.01	3,376	11.7x	11.0x	9.7x	1.9%	7.0%	8.6%	1.3x
SIG-AU	Sigma Healthcare Ltd	OW	3.30	\$2.87	33,708	44.3x	37.2x	32.0x	11.8%	18.2%	15.4%	2.4x
WOW-AU	Woolworths Group Ltd	EW	33.10	\$34.41	42,829	27.3x	24.5x	21.7x	4.0%	9.4%	11.8%	2.1x
Domestic Average (market cap weighted)						30.1x	26.5x	23.4x	5.9%	11.1%	12.0%	1.1x
Domestic Simple Average						24.1x	21.6x	19.0x	4.6%	9.1%	11.1%	-2.1x

Source: Factset consensus estimates, last price 2 June, 2026

Risk Reward – Wesfarmers Ltd (WES.AX)

Weaker outlook for Bunnings

PRICE TARGET A\$78.70

Average of DCF and SOTP valuations:

DCF valuation of A\$90.90 - WACC of 7.7%, derived from a cost of equity of 9% and a cost of debt of 5%.

SOTP valuation of A\$66.50 - We apply an EV/EBIT multiple to each of WES's reporting divisions, in which the multiple applied to each division is derived from the mid cycle multiple of a subset of listed comps.

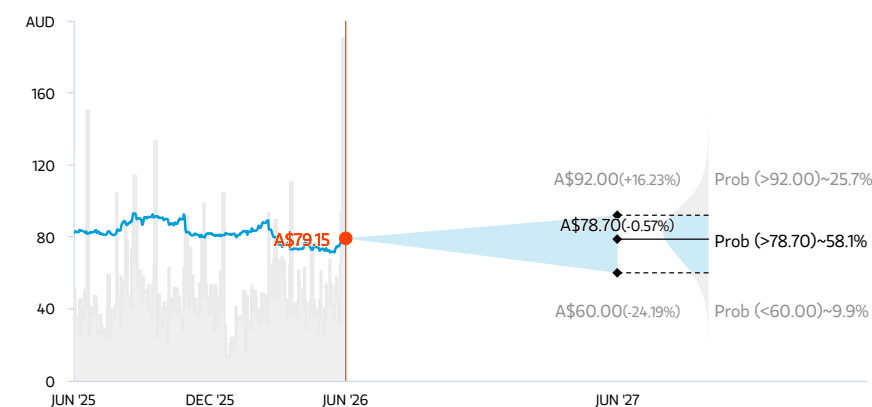
Consensus Price Target Distribution

A\$65.97 A\$77.50 A\$100.00

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 2 Jun 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 2 Jun 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

BULL CASE

A\$92.00

Strong consumer, improved operating leverage

Bunnings LFL growth MSD-HSD% (FY27e) driven by a more resilient consumer and housing market. Operating leverage sees Kmart margins grow by >20bpts in FY26e. WesCEF ex. lithium earnings supported by a more-favorable-than-expected commodity complex. Lithium pricing ahead of our estimates.

BASE CASE

A\$78.70

Momentum continues from discretionary spend growth

Bunnings delivers FY27e 2.0% LFL sales growth. Kmart continues to do well given a consumer shift to value with moderate operating leverage coming through. Lithium production aligns with management guidance. WESCEF benefits from higher Ammonia pricing.

BEAR CASE

A\$60.00

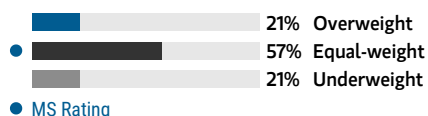
Weak consumer; housing market sluggish

A more protracted decline in domestic property and a greater slowdown than forecast in discretionary spending results in a greater contraction in FY26-28e LFL growth, with no operating leverage in retail businesses. Lithium pricing below our estimates.

EQUAL-WEIGHT THESIS

- Consumer remains under pressure with rate uncertainty, extended housing cycle recovery despite resilient labour markets.
- Bunnings exposed to expected near term slow down in housing activity.
- We forecast M-HSD growth in FY27 earnings, driven by i) slowing sales momentum in Bunnings; ii) ongoing sales momentum in Kmart; and iii) higher WESCEF earnings.
- Stretched valuation (>1SD above midcycle) keeps us EW.
- Upside risks: M&A, a more resilient-than-anticipated consumer and/or property market. Downside risks: more muted than expected consumer.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward – Wesfarmers Ltd (WES.AX)

KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Bunnings LFL sales growth (%)	3.5	3.9	2.0	4.0
Bunnings EBIT margin (%)	12.6	12.7	12.8	12.8
Kmart LFL sales growth (%)	4.0	5.0	5.0	5.0
Kmart EBIT margin (%)	10.4	10.4	10.4	10.4

INVESTMENT DRIVERS

- Bunnings store rollout, LFL sales growth and margins
- Kmart LFL sales growth and margin
- WesCEF earnings and lithium's eventual earnings contribution

GLOBAL REVENUE EXPOSURE



100% APAC, ex Japan, Mainland China and India

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

4/5
MOST 3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Utilisation of balance sheet to execute on M&A
- More resilient-than-anticipated consumer
- Reacceleration of lithium prices

RISKS TO DOWNSIDE

- Softer-than-expected sales growth in Bunnings / Kmart
- Lithium production delays
- Sustained Catch losses

OWNERSHIP POSITIONING

Inst. Owners, % Active 37.3%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Jun 2027e

Sales / Revenue (A\$, mn) 48,612 49,507 49,463 50,314

EBITDA (A\$, mn) 6,504 6,716 6,784 7,059

Net income (A\$, mn) 2,982 3,082 3,138 3,405

EPS (A\$) 2.63 2.72 2.77 3.00

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – Metcash Ltd (MTS.AX)

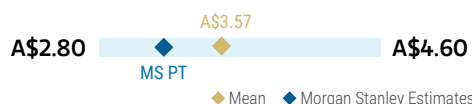
Challenging Conditions in Hardware Cap Outperformance

PRICE TARGET A\$3.20

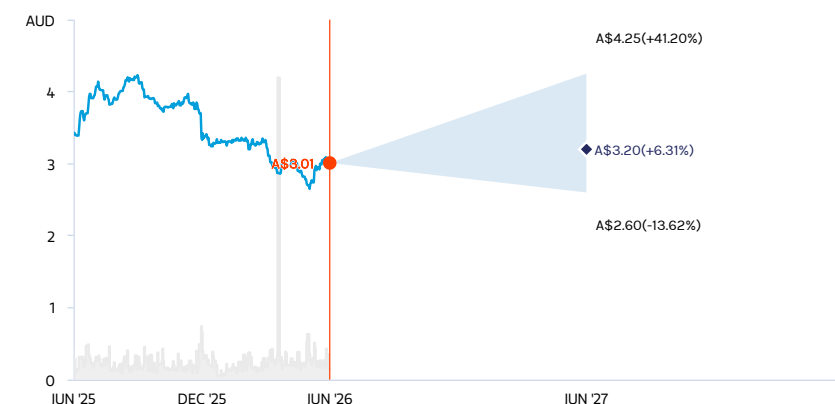
Average of DCF valuation (A\$3.4, WACC 8.9%, terminal growth rate 3%) and P/E relative valuation (A\$3.1, 12x NTM, set at half-way between mid-cycle and -1Std, which we view as appropriate given increased competitive pressures in Grocery, Liquor and Hardware and a delayed recovery in hardware category spend.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



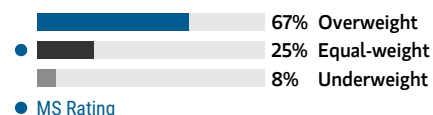
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

- **Challenging operating conditions in Hardware are the key constraint on outperformance.** Weak housing activity, cost inflation and poor earnings visibility are compressing margins across the division. A cyclical recovery in the building cycle should deliver operating leverage over time, but the timing & pace of margin rebuild remain uncertain.
- **Food & Liquor provide a stable earnings base, but competitive pressures continue to build.** Investment from majors in supply chain, convenience and eCommerce pressures the independent channel over the longer term, limiting scope for meaningful earnings upside outside of Hardware.
- We see limited catalyst for a re-rate until Hardware margins stabilise.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Self-help: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

A\$4.25

Hardware cycle recovery drives re-rate

Performance in Hardware results in Group long-term EBIT margins increasing to 3.5%. We apply a peak cycle P/E multiple of 17x, reflecting higher growth and margins.

BASE CASE

A\$3.20

De-rated, but limited catalyst

Food & Liquor provide a stable earnings base, but competitive pressures continue to build. Challenging conditions in Hardware are well flagged, and the stock has de-rated accordingly. Timing of a cyclical recovery remains uncertain.

BEAR CASE

A\$2.60

Market share loss in Grocery

Competition in grocery intensifies, which we capture in our terminal growth rate of 2.5% vs. our base case terminal growth rate of 3%. Hardware cycle recovery is pushed out further. Pressures result in long-term EBIT margins of 2.8%. We apply a P/E of ~10x, which is -1 SD below mid-cycle.

Risk Reward – Metcash Ltd (MTS.AX)

KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Food & Grocery EBIT Margins (%)	2.3	2.3	2.3	2.3
Liquor EBIT Margins (%)	2.0	1.9	1.9	1.9
Hardware EBIT Margins (%)	5.3	4.8	5.0	5.4

INVESTMENT DRIVERS

- Independent retailer sales performance and wider supermarket sales performance
- Growth in hardware
- Overall level of Australian food inflation

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

2/5
MOST 3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Hardware category spending rebounds sooner than expected and margins improve.
- Grocery gains wallet share/market share.

RISKS TO DOWNSIDE

- Coles and Woolworths engage in more competitive pricing behavior; Aldi accelerates store rollout.
- Hardware category spending deteriorates materially.
- Further operational deleverage in Hardware takes place.

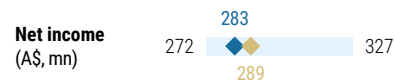
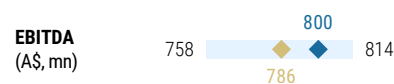
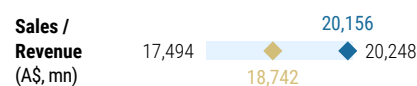
OWNERSHIP POSITIONING

Inst. Owners, % Active 44.2%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Apr 2027e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – JB Hi-Fi Ltd (JBH.AX)

Best-in-class retailer but valuation looks full

PRICE TARGET A\$66.50

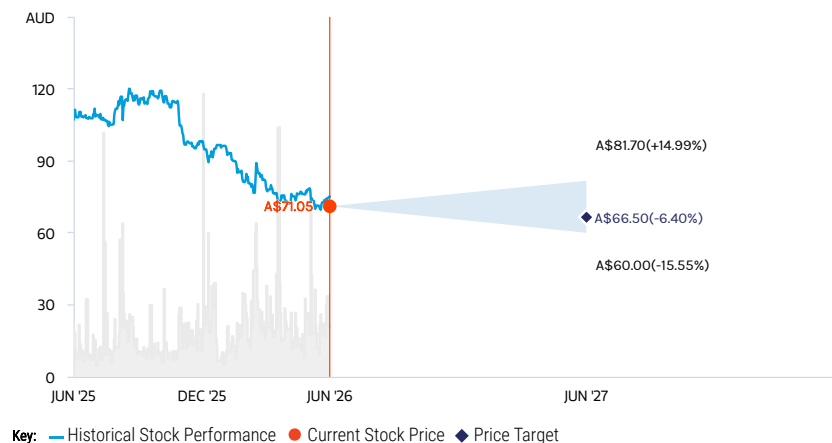
Average of P/E and DCF.

- P/E valuation of A\$54.6, ~12.5x our NTM EPS. We use ASX200 Index relative P/E, and apply a P/E multiple halfway between mid and -1Std, driven by: 1) fragile consumer backdrop, 2) consumer sentiment weakness, given recent rate hike, 3) management execution and cost discipline, and 4) capital management initiatives.
- DCF valuation of A\$78.4 - based on WACC of 9.0% and terminal growth rate of 3.5%.

Consensus Price Target Distribution



RISK REWARD CHART



BULL CASE

A\$81.70

Stronger consumer

Greater-than-forecast consumer spending, pass-through of higher costs to consumers. Which results in market share gains. P/E multiple remains elevated thanks to cyclical upswing in consumer spending.

BASE CASE

A\$66.50

Stable but fragile consumer

Cautious outlook for consumer discretionary spending given recent rate hike, potential margin pressure from categories exposed to memory inflation. Stretched valuation (above mid-cycle) leads us to maintain our cautious view.

BEAR CASE

A\$60.00

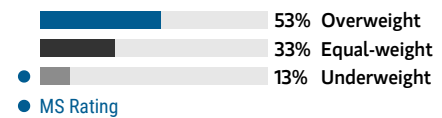
Consumer pressure

Consumer pressures drive negative comp growth and operating de-leverage, with P/E de-rating to 1-SD below mean.

UNDERWEIGHT THESIS

- We think JBH is a best-in-class retailer with market-leading positioning and attractive store economics.
- However, a softer housing outlook weighs on big-ticket categories and spend tied to housing activity. AI-driven memory inflation is an additional second-derivative risk, with potential demand headwinds from PC category inflation, an increasingly fragile consumer, and pass-through margin risk for retailers.
- Valuation keeps us cautious, trading above mid-cycle on a 12-month forward P/E basis.

Consensus Rating Distribution



Risk Reward Themes

Self-help: *Positive*

View descriptions of Risk Rewards Themes [here](#)

Risk Reward – JB Hi-Fi Ltd (JBH.AX)

KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
JBH AU LFL sales growth (%)	7.2	3.6	2.5	4.0
The Good Guys LFL sales growth (%)	6.5	3.0	1.5	3.5
JBH AU EBIT margin (%)	7.5	7.5	7.2	7.2
The Good Guys EBIT margin (%)	6.1	5.9	5.4	5.5

INVESTMENT DRIVERS

- Market share gains and overall consumer electronics/home appliances performance
- Australian macroeconomic conditions
- Rational competitive market set
- Capital management initiatives
- Amazon's success in the Australian market

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

3/5
MOST 3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Better-than-expected sales growth and greater retention of Covid margin lift
- Continued rational industry pricing
- Category innovation accelerating

RISKS TO DOWNSIDE

- Worse-than-expected LFL sales growth, driven by housing downturn.
- Abnormal level of discounting, leading to gross margin deterioration
- CODB pressures above forecast

OWNERSHIP POSITIONING

Inst. Owners, % Active 11.4%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Jun 2026e

Sales / Revenue (A\$, mn) 11,085 11,133 11,244
11,137

EBITDA (A\$, mn) 981 1,012 1,030
1,010

Net income (A\$, mn) 475 496 1,020
526

EPS (A\$) 4.33 4.52 4.65
4.50

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – Harvey Norman Holdings Ltd (HVN.AX)

Growing headwinds from memory inflation and a more challenging consumer backdrop

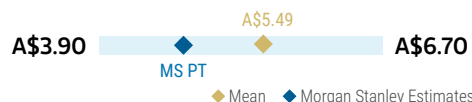
PRICE TARGET A\$4.70

Average of P/E and DCF.

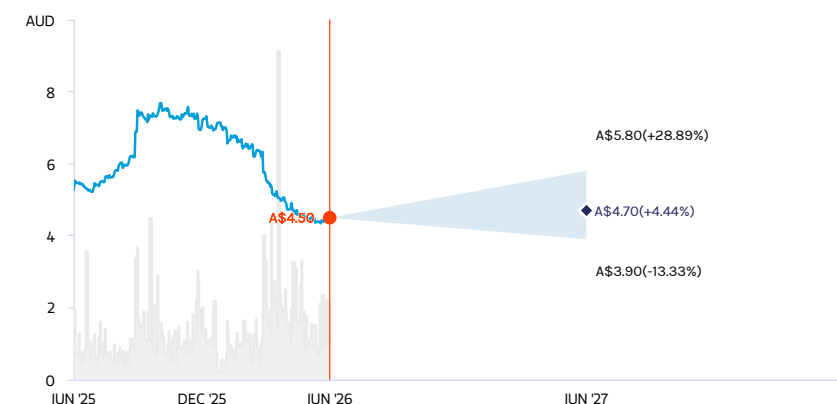
- P/E valuation of A\$3.94, we apply a ~11x tgt P/E multiple which is -1Std below mid-cycle, reflective of the challenging outlook for the consumer.
- DCF of A\$5.40/shr based on WACC of 8.0% and terminal growth rate of 3.5%.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



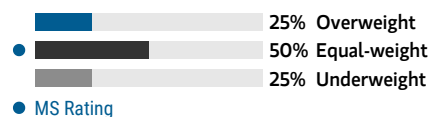
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

- **Housing cycle is a direct headwind.** HVN's category skew to white goods, furniture, and outdoor is most levered to property transaction driven demand. Lower housing turnover and softer price growth are expected to weigh on category spend.
- **AI driven memory inflation is an emerging second derivative risk.** PC category inflation, an increasingly fragile consumer, and pass through margin risk present headwinds. However, HVN's higher exposure to white goods, furniture, and outdoor makes it less exposed.
- **~30% of earnings from owned property offsets cyclical retail risk.** Combined with the stock trading 1 Std below mid cycle P/E, this supports a balanced rather than negative stance.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Disruption: *Negative*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

A\$5.80

Stronger consumer backdrop

Greater than forecast operational leverage resulting in 5% upside to FY27e EPS. P/E multiple re-rates to be elevated thanks to cyclical upswing in consumer spending.

BASE CASE

A\$4.70

Challenging outlook

Benign SSSg with domestic retail margins expected to face pressure from increased franchisee support and a tough operating environment. We apply 11x P/E, 1 Std below mid cycle, to reflect the fragile consumer backdrop and rising downside risk.

BEAR CASE

A\$3.90

Consumer under pressure

Earnings for FY27e 5% below base case scenario, with P/E de-rating greater than 1-SD below mean.

Risk Reward – Harvey Norman Holdings Ltd (HVN.AX)

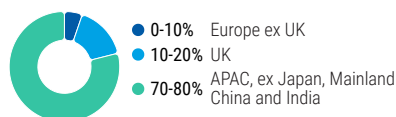
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Australia EBIT margin (%)	6.1	6.4	6.0	6.1
New Zealand EBIT margin (%)	7.2	8.1	8.0	8.0
Asia EBIT margin (%)	6.4	7.2	6.9	7.1
Slovenia EBIT margin (%)	3.3	4.5	3.9	3.9
Ireland EBIT margin (%)	4.2	4.7	4.5	4.5

INVESTMENT DRIVERS

- Australian franchise LFL sales growth
- Franchisee margins
- Material change in pricing trends in key categories

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

4/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Stronger-than-anticipated sales trends for electrical, furniture and home goods categories
- Greater-than-anticipated margin recovery associated with accelerating top line sales

RISKS TO DOWNSIDE

- Material deterioration in retail sales due to weaker economy and or slower rate-cutting path
- Sharper deacceleration in the Australian housing market

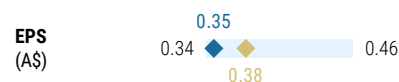
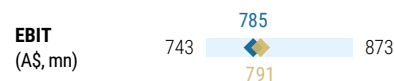
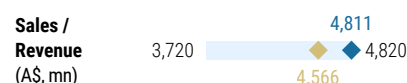
OWNERSHIP POSITIONING

Inst. Owners, % Active 10.7%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Jun 2026e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

Disclosure Section

The information and opinions in Morgan Stanley Research were prepared or are disseminated by Morgan Stanley Asia Limited (which accepts the responsibility for its contents) and/or Morgan Stanley Asia (Singapore) Pte. (Registration number 199206298Z) and/or Morgan Stanley Asia (Singapore) Securities Pte Ltd (Registration number 200008434H), regulated by the Monetary Authority of Singapore (which accepts legal responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research), and/or Morgan Stanley Taiwan Limited and/or Morgan Stanley & Co International plc, Seoul Branch, and/or Morgan Stanley Australia Limited (A.B.N. 67 003 734 576, holder of Australian financial services license No. 233742, which accepts responsibility for its contents), and/or Morgan Stanley Wealth Management Australia Pty Ltd (A.B.N. 19 009 145 555, holder of Australian financial services license No. 240813, which accepts responsibility for its contents), and/or Morgan Stanley India Company Private Limited having Corporate Identification No (CIN) U22990MH1998PTC115305, regulated by the Securities and Exchange Board of India ("SEBI") and holder of licenses as a Research Analyst (SEBI Registration No. INH000001105); Stock Broker (SEBI Stock Broker Registration No. INZ000244438), Merchant Banker (SEBI Registration No. INM000011203), and depository participant with National Securities Depository Limited (SEBI Registration No. IN-DP-NSDL-567-2021) having registered office at Altimus, Level 39 & 40, Pandurang Budhkar Marg, Worli, Mumbai 400018, India; Telephone no. +91-22-61181000; Compliance Officer Details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: tejarshi.hardas@morganstanley.com; Grievance officer details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: msic-compliance@morganstanley.com which accepts the responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research, and their affiliates (collectively, "Morgan Stanley"). Morgan Stanley India Company Private Limited (MSICPL) may use AI tools in providing research services. All recommendations contained herein are made by the duly qualified research analysts.

For important disclosures, stock price charts and equity rating histories regarding companies that are the subject of this report, please see the Morgan Stanley Research Disclosure Website at www.morganstanley.com/eqr/disclosures/webapp/generalresearch, or contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY, 10036 USA.

For valuation methodology and risks associated with any recommendation, rating or price target referenced in this research report, please contact the Client Support Team as follows: US/Canada +1 800 303-2495; Hong Kong +852 2848-5999; Latin America +1 718 754-5444 (U.S.); London +44 (0)20-7425-8169; Singapore +65 6834-6860; Sydney +61 (0)2-9770-1505; Tokyo +81 (0)3-6836-9000. Alternatively you may contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY 10036 USA.

Analyst Certification

The following analysts hereby certify that their views about the companies and their securities discussed in this report are accurately expressed and that they have not received and will not receive direct or indirect compensation in exchange for expressing specific recommendations or views in this report: Melinda K Baxter; Mac Ross, CFA; Julia M de Sterke.

Global Research Conflict Management Policy

Morgan Stanley Research has been published in accordance with our conflict management policy, which is available at www.morganstanley.com/institutional/research/conflictolicies. A Portuguese version of the policy can be found at www.morganstanley.com.br

Important Regulatory Disclosures on Subject Companies

As of April 30, 2026, Morgan Stanley beneficially owned 1% or more of a class of common equity securities of the following companies covered in Morgan Stanley Research: IDP Education Ltd, JB Hi-Fi Ltd, Metcash Ltd, Temple & Webster Group Ltd, Treasury Wine Estates LTD.

In the next 3 months, Morgan Stanley expects to receive or intends to seek compensation for investment banking services from Bega Cheese Ltd, Breville Group Ltd., Coles Group Limited, Domino's Pizza Enterprises LTD, Endeavour Group Ltd, Guzman y Gomez Ltd, IDP Education Ltd, Metcash Ltd, Premier Investments, Sigma Healthcare Ltd, Temple & Webster Group Ltd, Wesfarmers Ltd, Woolworths Group Ltd.

Within the last 12 months, Morgan Stanley has received compensation for products and services other than investment banking services from Wesfarmers Ltd.

Within the last 12 months, Morgan Stanley has provided or is providing investment banking services to, or has an investment banking client relationship with, the following company: Bega Cheese Ltd, Breville Group Ltd., Coles Group Limited, Domino's Pizza Enterprises LTD, Endeavour Group Ltd, Guzman y Gomez Ltd, IDP Education Ltd, Metcash Ltd, Premier Investments, Sigma Healthcare Ltd, Temple & Webster Group Ltd, Wesfarmers Ltd, Woolworths Group Ltd.

Within the last 12 months, Morgan Stanley has either provided or is providing non-investment banking, securities-related services to and/or in the past has entered into an agreement to provide services or has a client relationship with the following company: Guzman y Gomez Ltd, Temple & Webster Group Ltd, Wesfarmers Ltd.

The equity research analysts or strategists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality of research, investor client feedback, stock picking, competitive factors, firm revenues and overall investment banking revenues. Equity Research analysts' or strategists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

Morgan Stanley and its affiliates do business that relates to companies/instruments covered in Morgan Stanley Research, including market making, providing liquidity, fund management, commercial banking, extension of credit, investment services and investment banking. Morgan Stanley sells to and buys from customers the securities/instruments of companies covered in Morgan Stanley Research on a principal basis. Morgan Stanley may have a position in the debt of the Company or instruments discussed in this report. Morgan Stanley trades or may trade as principal in the debt securities (or in related derivatives) that are the subject of the debt research report.

Certain disclosures listed above are also for compliance with applicable regulations in non-US jurisdictions.

STOCK RATINGS

Morgan Stanley uses a relative rating system using terms such as Overweight, Equal-weight, Not-Rated or Underweight (see definitions below). Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold and sell. Investors should carefully read the definitions of all ratings used in Morgan Stanley Research. In addition, since Morgan Stanley Research contains more complete information concerning the analyst's views, investors should carefully read Morgan Stanley Research, in its entirety, and not infer the contents from the rating alone. In any case, ratings (or research) should not be used or relied upon as investment advice. An investor's decision to buy or sell a stock should depend on individual circumstances (such as the investor's existing holdings) and other considerations.

Global Stock Ratings Distribution

(as of May 31, 2026)

The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.

For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated

and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1542	42%	465	51%	30%	707	43%
Equal-weight/Hold	1571	43%	369	40%	23%	723	44%
Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Important Disclosures for Morgan Stanley Smith Barney LLC Customers

Important disclosures regarding any material conflict of interest that can reasonably be expected to have influenced Morgan Stanley Smith Barney LLC's choice of a third-party research provider or the subject company of a third-party research report, are available on the Morgan Stanley Wealth Management disclosure website at www.morganstanley.com/online/researchdisclosures. For Morgan Stanley specific disclosures, you may refer to <https://www.morganstanley.com/eqr/disclosures/webapp/generalresearch>.

Each Morgan Stanley research report is reviewed and approved on behalf of Morgan Stanley Smith Barney LLC. This review and approval is conducted by the same person who reviews the research report on behalf of Morgan Stanley. This could create a conflict of interest.

Other Important Disclosures

Morgan Stanley Research policy is to update research reports as and when the Research Analyst and Research Management deem appropriate, based on developments with the issuer, the sector, or the market that may have a material impact on the research views or opinions stated therein. In addition, certain Research publications are intended to be updated on a regular periodic basis (weekly/monthly/quarterly/annual) and will ordinarily be updated with that frequency, unless the Research Analyst and Research Management determine that a different publication schedule is appropriate based on current conditions.

Morgan Stanley is not acting as a municipal advisor and the opinions or views contained herein are not intended to be, and do not constitute, advice within the meaning of Section 975 of the Dodd-Frank Wall Street Reform and Consumer Protection Act.

Morgan Stanley produces an equity research product called a "Tactical Idea." Views contained in a "Tactical Idea" on a particular stock may be contrary to the recommendations or views expressed in research on the same stock. This may be the result of differing time horizons, methodologies, market events, or other factors. For all research available on a particular stock, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>.

Morgan Stanley Research is provided to our clients through our proprietary research portal on Matrix and also distributed electronically by Morgan Stanley to clients. Certain, but not all, Morgan Stanley Research products are also made available to clients through third-party vendors or redistributed to clients through alternate electronic means as a convenience. For access to all available Morgan Stanley Research, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>.

Any access and/or use of Morgan Stanley Research is subject to Morgan Stanley's Terms of Use (<http://www.morganstanley.com/terms.html>). By accessing and/or using Morgan Stanley Research, you are indicating that you have read and agree to be bound by our Terms of Use (<http://www.morganstanley.com/terms.html>). In addition you consent to Morgan Stanley processing your personal data and using cookies in accordance with our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html), including for the purposes of setting your preferences and to collect readership data so that we can deliver better and more personalized service and products to you. To find out more information about how Morgan Stanley processes personal data, how we use cookies and how to reject cookies see our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html). Please use

the provided link to review the Terms and Conditions and Most Important Terms and Conditions for Morgan Stanley India Company Private Limited (https://www.morganstanley.com/assets/pdfs/about-us-global-offices/india/Terms_and_conditions.pdf) and the following link to review the audit report (https://ny.matrix.ms.com/eqr/research/webapp/researchdocs/MSICPL_Morgan_Stanley_Research_Audit_Report.pdf).

If you do not agree to our Terms of Use and/or if you do not wish to provide your consent to Morgan Stanley processing your personal data or using cookies please do not access our research. Morgan Stanley Research does not provide individually tailored investment advice. Morgan Stanley Research has been prepared without regard to the circumstances and objectives of those who receive it. Morgan Stanley recommends that investors independently evaluate particular investments and strategies, and encourages investors to seek the advice of a financial adviser. The appropriateness of an investment or strategy will depend on an investor's circumstances and objectives. The securities, instruments, or strategies discussed in Morgan Stanley Research may not be suitable for all investors, and certain investors may not be eligible to purchase or participate in some or all of them. Morgan Stanley Research is not an offer to buy or sell or the solicitation of an offer to buy or sell any security/instrument or to participate in any particular trading strategy. The value of and income from your investments may vary because of changes in interest rates, foreign exchange rates, default rates, prepayment rates, securities/instruments prices, market indexes, operational or financial conditions of companies or other factors. There may be time limitations on the exercise of options or other rights in securities/instruments transactions. Past performance is not necessarily a guide to future performance. Estimates of future performance are based on assumptions that may not be realized. If provided, and unless otherwise stated, the closing price on the cover page is that of the primary exchange for the subject company's securities/instruments.

The fixed income research analysts, strategists or economists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality, accuracy and value of research, firm profitability or revenues (which include fixed income trading and capital markets profitability or revenues), client feedback and competitive factors. Fixed Income Research analysts', strategists' or economists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

The "Important Regulatory Disclosures on Subject Companies" section in Morgan Stanley Research lists all companies mentioned where Morgan Stanley owns 1% or more of a class of common equity securities of the companies. For all other companies mentioned in Morgan Stanley Research, Morgan Stanley may have an investment of less than 1% in securities/instruments or derivatives of securities/instruments of companies and may trade them in ways different from those discussed in Morgan Stanley Research. Employees of Morgan Stanley not involved in the preparation of Morgan Stanley Research may have investments in securities/instruments or derivatives of securities/instruments of companies mentioned and may trade them in ways different from those discussed in Morgan Stanley Research. Derivatives may be issued by Morgan Stanley or associated persons.

With the exception of information regarding Morgan Stanley, Morgan Stanley Research is based on public information. Morgan Stanley makes every effort to use reliable, comprehensive information, but we make no representation that it is accurate or complete. We have no obligation to tell you when opinions or information in Morgan Stanley Research change apart from when we intend to discontinue equity research coverage of a subject company. Facts and views presented in Morgan Stanley Research have not been reviewed by, and may not reflect information known to, professionals in other Morgan Stanley business areas, including investment banking personnel.

Morgan Stanley Research personnel may participate in company events such as site visits and are generally prohibited from accepting payment by the company of associated expenses unless pre-approved by authorized members of Research management.

Morgan Stanley may make investment decisions that are inconsistent with the recommendations or views in this report.

To our readers based in Taiwan or trading in Taiwan securities/instruments: Information on securities/instruments that trade in Taiwan is distributed by Morgan Stanley Taiwan Limited ("MSTL").

Such information is for your reference only. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. Morgan Stanley Research may not be distributed to the public media or quoted or used by the public media without the express written consent of Morgan Stanley. Any non-customer reader within the scope of Article 7-1 of the Taiwan Stock Exchange Recommendation Regulations accessing and/or receiving Morgan Stanley Research is not permitted to provide Morgan Stanley Research to any third party (including but not limited to related parties, affiliated companies and any other third parties) or engage in any activities regarding Morgan Stanley Research which may create or give the appearance of creating a conflict of interest. Information on securities/instruments that do not trade in Taiwan is for informational purposes only and is not to be construed as a recommendation or a solicitation to trade in such securities/instruments. MSTL may not execute transactions for clients in these securities/instruments.

Certain information in Morgan Stanley Research was sourced by employees of the Shanghai Representative Office of Morgan Stanley Asia Limited for the use of Morgan Stanley Asia Limited. Morgan Stanley is not incorporated under PRC law and the research in relation to this report is conducted outside the PRC. Morgan Stanley Research does not constitute an offer to sell or the solicitation of an offer to buy any securities in the PRC. PRC investors shall have the relevant qualifications to invest in such securities and shall be responsible for obtaining all relevant approvals, licenses, verifications and/or registrations from the relevant governmental authorities themselves. Neither this report nor any part of it is intended as, or shall constitute, provision of any consultancy or advisory service of securities investment as defined under PRC law. Such information is provided for your reference only.

Morgan Stanley Research is disseminated in Brazil by Morgan Stanley C.T.V.M. S.A. located at Av. Brigadeiro Faria Lima, 3600, 6th floor, São Paulo - SP, Brazil; and is regulated by the Comissão de Valores Mobiliários; in Mexico by Morgan Stanley México, Casa de Bolsa, S.A. de C.V. which is regulated by Comisión Nacional Bancaria y de Valores. Paseo de los Tamarindos 90, Torre 1, Col. Bosques de las Lomas Floor 29, 05120 Mexico City; in Japan by Morgan Stanley MUFG Securities Co., Ltd. and, for Commodities related research reports only, Morgan Stanley Capital Group Japan Co., Ltd; in Hong Kong by Morgan Stanley Asia Limited (which accepts responsibility for its contents) and by Morgan Stanley Bank Asia Limited; in Singapore by Morgan Stanley Asia (Singapore) Pte. (Registration number 199206298Z) and/or Morgan Stanley Asia (Singapore) Securities Pte Ltd (Registration number 200008434H), regulated by the Monetary Authority of Singapore (which accepts legal responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research) and by Morgan Stanley Bank Asia Limited, Singapore Branch (Registration number T14FC0118); in Australia to "wholesale clients" within the meaning of the Australian Corporations Act by Morgan Stanley Australia Limited A.B.N. 67 003 734 576, holder of Australian financial services license No. 233742, which accepts responsibility for its contents; in Australia to "wholesale clients" and "retail clients" within the meaning of the Australian Corporations Act by Morgan Stanley Wealth Management Australia Pty Ltd (A.B.N. 19 009 145 555, holder of Australian financial services license No. 240813, which accepts responsibility for its contents; in Korea by Morgan Stanley & Co International plc, Seoul Branch; in India by Morgan Stanley India Company Private Limited having Corporate Identification No (CIN) U22990MH1998PTC115305, regulated by the Securities and Exchange Board of India ("SEBI") and holder of licenses as a Research Analyst (SEBI Registration No. INH000001105); Stock Broker (SEBI Stock Broker Registration No. INZ000244438), Merchant Banker (SEBI Registration No. INM000011203), and depository participant with National Securities Depository Limited (SEBI Registration No. IN-DP-NSDL-567-2021) having registered office at Altimus, Level 39 & 40, Pandurang Budhkar Marg, Worli, Mumbai 400018, India; Telephone no. +91-22-61181000; Compliance Officer Details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: tejarshi.hardas@morganstanley.com; Grievance officer details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: msic-compliance@morganstanley.com. Morgan Stanley India Company Private Limited (MSICPL) may use AI tools in providing research services. All recommendations contained herein are made by the duly qualified research analysts; in Canada by Morgan Stanley Canada Limited; in Germany and the European Economic Area where required by Morgan Stanley Europe S.E., authorised and regulated by Bundesanstalt fuer Finanzdienstleistungsaufsicht (BaFin) under the reference number 149169; in the US by Morgan Stanley & Co. LLC, which accepts responsibility for its contents. Morgan Stanley & Co. International plc, authorized by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority, disseminates in the UK research that it has prepared, and research which has been prepared by any of its affiliates, only to persons who (i) are investment professionals falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (as amended, the "Order"); (ii) are persons who are

high net worth entities falling within Article 49(2)(a) to (d) of the Order; or (iii) are persons to whom an invitation or inducement to engage in investment activity (within the meaning of section 21 of the Financial Services and Markets Act 2000, as amended) may otherwise lawfully be communicated or caused to be communicated. RMB Morgan Stanley Proprietary Limited is a member of the JSE Limited and A2X (Pty) Ltd. RMB Morgan Stanley Proprietary Limited is a joint venture owned equally by Morgan Stanley International Holdings Inc. and RMB Investment Advisory (Proprietary) Limited, which is wholly owned by FirstRand Limited. The information in Morgan Stanley Research is being disseminated by Morgan Stanley Saudi Arabia, regulated by the Capital Market Authority in the Kingdom of Saudi Arabia, and is directed at Sophisticated investors only.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (DIFC Branch), regulated by the Dubai Financial Services Authority (the DFSA) or by Morgan Stanley & Co. International plc (ADGM Branch), regulated by the Financial Services Regulatory Authority Abu Dhabi (the FSRA), and is directed at Professional Clients only, as defined by the DFSA or the FSRA, respectively. The financial products or financial services to which this research relates will only be made available to a customer who we are satisfied meets the regulatory criteria of a Professional Client. A distribution of the different MS Research ratings or recommendations, in percentage terms for Investments in each sector covered, is available upon request from your sales representative.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (QFC Branch), regulated by the Qatar Financial Centre Regulatory Authority (the QFCRA), and is directed at business customers and market counterparties only and is not intended for Retail Customers as defined by the QFCRA.

As required by the Capital Markets Board of Turkey, investment information, comments and recommendations stated here, are not within the scope of investment advisory activity. Investment advisory service is provided exclusively to persons based on their risk and income preferences by the authorized firms. Comments and recommendations stated here are general in nature. These opinions may not fit to your financial status, risk and return preferences. For this reason, to make an investment decision by relying solely to this information stated here may not bring about outcomes that fit your expectations.

The trademarks and service marks contained in Morgan Stanley Research are the property of their respective owners. Third-party data providers make no warranties or representations relating to the accuracy, completeness, or timeliness of the data they provide and shall not have liability for any damages relating to such data. The Global Industry Classification Standard (GICS) was developed by and is the exclusive property of MSCI and S&P.

Morgan Stanley Research, or any portion thereof may not be reprinted, sold or redistributed without the written consent of Morgan Stanley.

Indicators and trackers referenced in Morgan Stanley Research may not be used as, or treated as, a benchmark under Regulation EU 2016/1011, or any other similar framework.

The issuers and/or fixed income products recommended or discussed in certain fixed income research reports may not be continuously followed. Accordingly, investors should regard those fixed income research reports as providing stand-alone analysis and should not expect continuing analysis or additional reports relating to such issuers and/or individual fixed income products.

Morgan Stanley may hold, from time to time, material financial and commercial interests regarding the company subject to the Research report.

Registration granted by SEBI and certification from the National Institute of Securities Markets (NISM) in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Investment in securities market are subject to market risks. Read all the related documents carefully before investing.

INDUSTRY COVERAGE: Australia Consumer

COMPANY (TICKER)	RATING (AS OF)	PRICE* (06/01/2026)
Julia M de Sterke		
A2 Milk Company Ltd (ATM.NZ)	O (10/28/2025)	NZ\$6.55
A2 Milk Company Ltd (A2M.AX)	O (10/28/2025)	A\$5.32
Bega Cheese Ltd (BGA.AX)	O (05/22/2026)	A\$5.46
Myer Holdings Ltd (MYR.AX)	O (03/05/2025)	A\$0.25
Premier Investments (PMV.AX)	O (01/24/2023)	A\$12.69
Mac Ross, CFA		
Accent Group Ltd (AX1.AX)	U (11/24/2025)	A\$0.62
Collins Foods (CKF.AX)	E (06/01/2026)	A\$8.43
Metcash Ltd (MTS.AX)	E (04/03/2024)	A\$3.07
Super Retail Group Ltd (SUL.AX)	U (01/30/2024)	A\$11.57
Melinda K Baxter		
Coles Group Limited (COL.AX)	O (03/12/2025)	A\$21.71
Domino's Pizza Enterprises LTD (DMP.AX)	U (10/28/2025)	A\$17.58
Endeavour Group Ltd (EDV.AX)	E (07/18/2025)	A\$2.89
Guzman y Gomez Ltd (GYG.AX)	O (08/08/2024)	A\$20.19
Harvey Norman Holdings Ltd (HVN.AX)	E (09/15/2025)	A\$4.59
IDP Education Ltd (IEL.AX)	E (06/03/2025)	A\$2.37
JB Hi-Fi Ltd (JBH.AX)	U (06/29/2023)	A\$75.13
Sigma Healthcare Ltd (SIG.AX)	O (05/02/2025)	A\$2.92
Treasury Wine Estates LTD (TWE.AX)	E (08/13/2025)	A\$4.22
Wesfarmers Ltd (WES.AX)	E (09/15/2025)	A\$79.75
Woolworths Group Ltd (WOW.AX)	E (08/28/2025)	A\$35.06

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.

© 2026 Morgan Stanley